

#1 · Commercial General Liability

What does a Commercial General Liability (CGL) policy insure against?

Answer

A CGL policy protects a business against claims of bodily injury, property damage, and personal and advertising injury arising out of its operations, products, or premises. It responds on behalf of the insured to third party claims, not to the insured's own property or first party losses.

#2 · Commercial General Liability

What are the three insuring agreements of a standard CGL policy?

Answer

Coverage A (Bodily Injury and Property Damage Liability), Coverage B (Personal and Advertising Injury Liability), and Coverage C (Medical Payments). Each coverage part has its own trigger conditions and exclusions within the same policy form.

#3 · Commercial General Liability

What does Coverage A of the CGL policy insure?

Answer

Coverage A insures the business against liability for bodily injury and property damage caused by an occurrence during the policy period. It is the broadest and most commonly claimed part of a CGL policy.

#4 · Commercial General Liability

What does Coverage B of the CGL policy insure?

Answer

Coverage B insures against personal and advertising injury offences such as libel, slander, false arrest, wrongful eviction, and copyright infringement in advertising. It does not require bodily injury or property damage to trigger a claim.

#5 · Commercial General Liability

What does Coverage C, Medical Payments, provide under a CGL policy?

Answer

Coverage C pays medical expenses for bodily injury to third parties on the insured's premises or from the insured's operations, regardless of fault, up to a small per person limit. It is a goodwill coverage meant to avoid larger liability claims.

#6 · Commercial General Liability

How does an occurrence based CGL policy trigger coverage?

Answer

An occurrence based policy responds if the bodily injury or property damage happens during the policy period, regardless of when the claim is actually reported. Coverage can be triggered years after the policy expired as long as the injury occurred while the policy was active.

#7 · Commercial General Liability

How does a claims-made CGL policy trigger coverage?

Answer

A claims-made policy responds only if the claim is first made against the insured and reported to the insurer during the policy period or an applicable extended reporting period. Timing of the claim, not the injury, is what matters most.

#8 · Commercial General Liability

Why do claims-made forms typically include a retroactive date?

Answer

The retroactive date excludes coverage for injury or damage that occurred before that date, even if the claim is made during the policy period. It prevents the insurer from picking up losses from occurrences that took place before the policy relationship began.

#9 · Commercial General Liability

What is an extended reporting period (ERP) in a claims-made policy?

Answer

An ERP, sometimes called tail coverage, allows the insured to report claims after the policy has ended for occurrences that took place before expiry. Without it, a lapsed claims-made policy leaves the insured with no coverage for late-reported claims.

#10 · Commercial General Liability

What is the general aggregate limit in a CGL policy?

Answer

The general aggregate limit is the maximum the insurer will pay for all claims combined during the policy period, other than products-completed operations claims. Once this limit is exhausted, no further coverage is available regardless of remaining occurrences.

#11 · Commercial General Liability

What is the products-completed operations aggregate limit?

Answer

It is a separate aggregate limit that applies specifically to bodily injury and property damage arising from the insured's products or completed work away from the premises. Having it separate from the general aggregate protects the general limit from being eroded by product claims.

#12 · Commercial General Liability

What is the each occurrence limit under a CGL policy?

Answer

The each occurrence limit is the most the insurer will pay for bodily injury and property damage arising from a single occurrence. It is a sub-limit within the general aggregate and cannot exceed the aggregate for that policy period.

#13 · Commercial General Liability

What is the personal and advertising injury limit?

Answer

It is the maximum amount payable for any one person or organization for offences covered under Coverage B, such as libel or wrongful eviction. This limit is typically part of the general aggregate rather than a separate additional amount.

#14 · Commercial General Liability

What is the tenants' legal liability limit used for?

Answer

It applies to damage a tenant causes to a rented premises, most commonly fire damage, and is often shown as a separate sub-limit within the CGL policy. It fills the gap since a tenant has an insurable interest in premises they do not own.

#15 · Commercial General Liability

Define the products-completed operations hazard.

Answer

It refers to bodily injury or property damage arising out of the insured's product or completed work, occurring away from premises the insured owns or controls, after the product has left the insured's possession or the work has been finished. It is what the products-completed operations aggregate limit is designed to cover.

#16 · Commercial General Liability

When is work considered completed for products-completed operations purposes?

Answer

Work is considered completed when all work called for in the contract has been finished, when the work at a single job site has been finished, or when the portion of work done at a job site has been put to its intended use, whichever occurs first.

#17 · Commercial General Liability

Why does products-completed operations coverage matter to a contractor?

Answer

A contractor remains liable for defective workmanship discovered after the job is finished and the crew has left the site. Without this hazard being covered, a claim arising after completion would fall outside the policy entirely.

#18 · Commercial General Liability

What is the standard CGL exclusion for pollution?

Answer

The pollution exclusion removes coverage for bodily injury or property damage arising from the actual, alleged, or threatened discharge, dispersal, release, or escape of pollutants. The absolute pollution exclusion found in most current CGL forms applies whether the release was sudden and accidental or gradual; a sudden-and-accidental carve-back was a feature of older CGL wordings decades ago, not of current forms.

#19 · Commercial General Liability

What is the professional liability exclusion in a CGL policy?

Answer

It excludes claims arising from the rendering of or failure to render professional services, such as advice, design, or specialized skill. Professionals need a separate errors and omissions policy to cover this exposure.

#20 · Commercial General Liability

What is the intentional acts exclusion under a CGL policy?

Answer

It excludes bodily injury or property damage that is expected or intended from the standpoint of the insured. It preserves the insurance principle that coverage is for fortuitous, accidental events, not deliberate wrongdoing.

#21 · Commercial General Liability

What is the care, custody, and control exclusion?

Answer

It excludes property damage to property the insured owns, rents, occupies, or has in its care, custody, or control. The rationale is that the insured should insure its own property under a property policy, not through liability insurance.

#22 · Commercial General Liability

How does the workers' compensation exclusion in a CGL policy work?

Answer

It excludes any obligation the insured may have under a workers' compensation, disability benefits, or similar law, since those exposures are handled through the applicable workers' compensation board. Employer's liability coverage may be added separately for gaps not covered by the board.

#23 · Commercial General Liability

What is the employer's liability exclusion and how is it typically addressed?

Answer

The employer's liability exclusion removes coverage for bodily injury to an employee arising out of employment, since it is normally handled by workers' compensation. Employers can buy back limited coverage for gaps such as claims not covered by the board through an endorsement.

#24 · Commercial General Liability

What is the contractual liability exclusion and its exception?

Answer

The exclusion removes coverage for liability the insured assumes under a contract, except liability the insured would have anyway at law or liability assumed under an insured contract, which is specifically defined and brought back into coverage.

#25 · Commercial General Liability

What is meant by an insured contract under a CGL policy?

Answer

An insured contract is a specific type of agreement, such as a lease of premises or certain sidetrack agreements, where the assumption of another party's liability is brought back into coverage despite the general contractual liability exclusion.

#26 · Commercial General Liability

What does the aircraft, auto, and watercraft exclusion generally remove?

Answer

It excludes bodily injury or property damage arising from the ownership, maintenance, use, or entrustment of aircraft, autos, and certain watercraft owned or operated by or rented to the insured. Those exposures are addressed by separate auto, aviation, or marine policies.

#27 · Commercial General Liability

What is the recall exclusion in a CGL policy?

Answer

It excludes the cost of withdrawing, recalling, inspecting, repairing, or replacing the insured's product or work if it is withdrawn from the market because of a known or suspected defect. Product recall coverage must be purchased separately.

#28 · Commercial General Liability

What does the your product and your work exclusion under property damage generally address?

Answer

It excludes property damage to the insured's own product or the insured's own completed work itself, since correcting defective work or replacing a defective product is a business risk, not an insurable liability loss.

#29 · Commercial General Liability

What is an additional insured endorsement used for on a CGL policy?

Answer

It extends coverage under the named insured's policy to another party, such as a landlord or project owner, for liability arising out of the named insured's operations. It is commonly required in lease and construction contracts.

#30 · Commercial General Liability

What is a broad form CGL endorsement?

Answer

A broad form endorsement adds several extensions to the standard CGL policy, such as broadened contractual liability, broadened personal injury, and non-owned automobile liability, packaged together in one endorsement rather than purchased separately.

#31 · Commercial General Liability

What is non-owned automobile liability coverage under a broad form CGL endorsement?

Answer

It extends liability protection to the business for vehicles it does not own but that are used on its behalf, such as an employee's personal vehicle used for business errands. It supplements rather than replaces the employee's own auto policy.

#32 · Commercial General Liability

What is contingent employer's liability coverage?

Answer

It provides protection to the employer for bodily injury claims by employees that fall outside the scope of the applicable workers' compensation legislation, filling a gap left by the standard employer's liability exclusion.

#33 · Commercial General Liability

What does the CGL definition of an occurrence generally require?

Answer

An occurrence is defined as an accident, including continuous or repeated exposure to substantially the same general harmful conditions. It requires an element of fortuity rather than a deliberate or expected event.

#34 · Commercial General Liability

What does the term named insured mean on a CGL policy declarations page?

Answer

The named insured is the specific person or entity identified on the declarations page as the policyholder. Additional entities such as subsidiaries or additional insureds are covered only if they meet the policy's definition of insured or are added by endorsement.

#35 · Commercial General Liability

Why is it important for a broker to confirm whether a CGL policy is occurrence or claims-made?

Answer

The trigger type determines when a claim must be reported and whether coverage exists for a loss discovered after a policy has lapsed. Failing to secure the right trigger, or an extended reporting period on a claims-made policy, can leave a client with an uninsured gap.

#36 · Commercial General Liability

What is the difference between the general aggregate limit and the each occurrence limit?

Answer

The each occurrence limit caps payment for a single event, while the general aggregate limit caps the total paid across all occurrences during the policy period. A business with several claims in one term can exhaust the aggregate even if no single claim reaches the each occurrence limit.

#37 · Commercial General Liability

What is a per project aggregate endorsement and why would a contractor want one?

Answer

It resets the general aggregate limit separately for each distinct construction project rather than sharing one aggregate across all of the contractor's work. It prevents claims on one project from eroding the limits available for other ongoing projects.

#38 · Commercial General Liability

What triggers Coverage B for personal and advertising injury, unlike Coverage A?

Answer

Coverage B is triggered by specified offences, such as libel, slander, or invasion of privacy, committed in the course of the insured's business, rather than by bodily injury or property damage from an occurrence. Intent to commit the act, but not intent to cause injury, is typically required.

#39 · Commercial General Liability

How do CGL policy limits apply when multiple claimants arise from a single occurrence?

Answer

All claims from the same occurrence are subject to the each occurrence limit collectively, even if multiple people are injured. Claimants share that single limit rather than each receiving a separate full limit.

#40 · Commercial General Liability

What is the difference between defence costs inside the limits and outside the limits?

Answer

When defence costs are inside the limits, legal expenses reduce the available liability limit as they are paid. When defence costs are outside the limits, the insurer pays defence separately in addition to the stated liability limit.

#41 · Commercial General Liability

Why do many commercial leases require the tenant to carry CGL insurance naming the landlord as additional insured?

Answer

The landlord wants protection if it is drawn into a lawsuit arising from the tenant's business activities on the leased premises. Naming the landlord as additional insured extends the tenant's own coverage to respond to those claims directly.

#42 · Commercial General Liability

What common practice mistake occurs when a broker assumes CGL covers a client's own property damage?

Answer

CGL is third party liability coverage and generally excludes damage to the insured's own property through the care, custody, and control exclusion. The client needs separate commercial property insurance for their own building and contents.

#43 · Commercial General Liability

What is a hold harmless or indemnification agreement in a commercial contract?

Answer

It is a contractual clause where one party agrees to assume liability that would otherwise fall on another party. Under the CGL contractual liability provisions, this assumed liability is only covered if the agreement qualifies as an insured contract.

#44 · Commercial General Liability

What does the term subrogation mean in the context of a CGL claim?

Answer

Subrogation is the insurer's right to recover the amount it paid on a claim from a third party who was actually responsible for the loss. It allows the insurer to step into the insured's shoes to pursue the at fault party.

#45 · Commercial General Liability

What is a waiver of subrogation and why might a contract require one?

Answer

A waiver of subrogation is an agreement where the insurer gives up its right to recover from a specified party after paying a claim. Contracts often require this so that one party's insurer cannot later sue the other contracting party for reimbursement.

#46 · Commercial General Liability

What is completed operations liability distinguished from ongoing operations liability?

Answer

Ongoing operations liability arises from work still in progress, while completed operations liability arises after the work is finished and the insured has left the job site. Both are covered under a standard CGL policy but respond to different phases of a project.

#47 · Commercial General Liability

What does the term insured premises mean on a CGL policy?

Answer

It refers to the locations described in the policy that the named insured owns, rents, or occupies for business purposes. Liability arising at those locations is generally covered, subject to the policy's other terms and exclusions.

#48 · Commercial General Liability

How does a CGL policy typically define the insured for a corporation?

Answer

For a corporation, the definition of insured typically includes the corporation itself, its executive officers, directors, and stockholders while acting within the scope of their duties as such. It does not automatically extend to unrelated ventures they may pursue.

#49 · Commercial General Liability

Why is products liability exposure a significant concern for manufacturers under a CGL policy?

Answer

A manufacturer can be held liable for bodily injury or property damage caused by a defective product long after it has been sold and is out of the manufacturer's control. The products-completed operations aggregate exists specifically to address this long-tail exposure.

#50 · Commercial General Liability

What is the difference between property damage and bodily injury as defined terms in a CGL policy?

Answer

Bodily injury refers to physical injury, sickness, disease, or death sustained by a person, while property damage refers to physical injury to or loss of use of tangible property. Both are separately defined terms that trigger Coverage A.

#51 · Commercial General Liability

What is loss of use coverage under property damage in a CGL policy?

Answer

Loss of use coverage responds when tangible property has not been physically damaged but the claimant has lost the ability to use it because of the insured's negligence, such as a utility outage caused by the insured's operations. It falls under the property damage definition.

#52 · Commercial General Liability

Why might a business need a Commercial Umbrella or Excess Liability policy on top of its CGL?

Answer

An umbrella or excess policy provides additional limits above the CGL's underlying limits once those are exhausted, and can also broaden coverage for some claims not fully covered underneath. It protects against catastrophic liability judgments that exceed standard CGL limits.

#53 · Commercial General Liability

What is the difference between a follow form excess policy and a stand-alone excess policy?

Answer

A follow form excess policy mirrors the terms and conditions of the underlying CGL policy, simply adding limits. A stand-alone excess policy has its own independent wording, which can create coverage gaps or broader coverage compared to the underlying policy.

#54 · Commercial General Liability

What is vicarious liability and how does it relate to a CGL policy?

Answer

Vicarious liability is legal responsibility one party bears for the acts of another, such as an employer being liable for an employee's actions within the scope of employment. A CGL policy typically responds to vicarious liability claims arising from the insured's operations.

#55 · Commercial General Liability

What is the difference between primary and non-contributory additional insured wording?

Answer

Primary and non-contributory wording states that the named insured's policy will respond first and will not seek contribution from the additional insured's own policy. It is often required by landlords and project owners to ensure their own insurance is not called upon first.

#56 · Commercial General Liability

Why do construction contracts often require completed operations coverage to extend for a period after the project ends?

Answer

Defects in workmanship may not surface until well after a project is finished, so an owner wants assurance the contractor's coverage will still respond to claims discovered later. This is typically addressed by maintaining products-completed operations coverage for several years past completion.

#57 · Commercial General Liability

What does the CGL policy mean by advertising injury offences such as misappropriation of advertising ideas?

Answer

It refers to using another party's advertising concept or style of doing business without permission, which can trigger a Coverage B claim. It falls under personal and advertising injury rather than the bodily injury and property damage coverage.

#58 · Commercial General Liability

What is the significance of the deductible on a CGL policy?

Answer

The deductible is the amount the insured must pay out of pocket before the insurer's payment obligation begins on a claim. CGL deductibles can apply to indemnity only or to both indemnity and defence costs depending on the policy wording.

#59 · Commercial General Liability

What is the difference between a self-insured retention (SIR) and a deductible?

Answer

With an SIR, the insured is responsible for handling and paying claims up to the retention amount before the insurer becomes involved at all, whereas with a deductible the insurer typically handles the claim from the start and is later reimbursed by the insured.

#60 · Commercial General Liability

Why is it important to review the definition of your work carefully in a CGL policy?

Answer

The definition of your work determines what falls under the completed operations exposure and affects how several exclusions, such as the your work exclusion, apply. A narrow or broad definition can significantly change how much coverage a contractor actually has.

#61 · Commercial General Liability

What is a claims-made policy's basic reporting requirement compared to occurrence coverage?

Answer

A claims-made policy requires the claim to be reported to the insurer within the policy period or extended reporting period, while an occurrence policy simply requires the injury or damage to have happened during the policy period regardless of when it is reported.

#62 · Commercial General Liability

What happens to prior acts coverage if an insured switches from one claims-made insurer to another without matching retroactive dates?

Answer

If the new insurer sets a retroactive date at the start of its own policy rather than matching the prior insurer's earlier date, claims arising from acts before the new retroactive date may fall into a coverage gap unless a nose coverage or prior acts endorsement is obtained.

#63 · Commercial General Liability

What is nose coverage in the context of claims-made policies?

Answer

Nose coverage, also called prior acts coverage, extends the retroactive date of a new claims-made policy backward to match an earlier date, closing the gap that would otherwise exist for occurrences before the new policy's normal retroactive date.

#64 · Commercial General Liability

Why is products-completed operations often the largest exposure for a manufacturer purchasing CGL insurance?

Answer

A manufactured product can travel far from the point of sale and cause injury or damage long after leaving the manufacturer's control, creating potential claims years into the future. The products-completed operations aggregate is designed specifically to manage that long-tail risk.

#65 · Commercial General Liability

What is the purpose of the supplementary payments provision in a CGL policy?

Answer

Supplementary payments cover costs such as the insurer's defence expenses, premiums for bail bonds, and certain expenses incurred at the insurer's request, typically in addition to the liability limits rather than reducing them.

#66 · Commercial General Liability

What is the significance of the phrase legally obligated to pay as damages in the CGL insuring agreement?

Answer

It confirms that CGL coverage responds only when the insured has a legal liability for the loss, meaning fault or responsibility under law must be established, not simply that a loss occurred.

#67 · Commercial General Liability

How does the CGL policy typically treat liquor liability exposures?

Answer

Standard CGL policies exclude liability arising out of causing or contributing to the intoxication of a person, or from violation of any statute related to the sale of alcohol, when the insured is in the business of manufacturing, distributing, selling, serving, or furnishing alcoholic beverages.

#68 · Commercial General Liability

What is host liquor liability and how does it differ from a licensed liquor exclusion?

Answer

Host liquor liability applies to a business that occasionally serves alcohol as part of a social event, such as an office party, rather than being in the business of selling alcohol. It is often left intact under a CGL policy even where the liquor liability exclusion applies to licensed sellers.

#69 · Commercial General Liability

What is the war exclusion in a CGL policy meant to address?

Answer

The war exclusion removes coverage for bodily injury or property damage arising from war, invasion, rebellion, or similar hostilities, since these catastrophic and uninsurable risks are outside the normal scope of commercial liability underwriting.

#70 · Commercial General Liability

What does the CGL nuclear energy liability exclusion accomplish?

Answer

It excludes bodily injury and property damage arising from nuclear reaction, radiation, or contamination, since this exposure is instead handled through specialized nuclear energy liability pools due to its catastrophic potential.

#71 · Commercial General Liability

How does the CGL policy generally treat asbestos exposures?

Answer

Most CGL policies contain a total or absolute asbestos exclusion, removing coverage for bodily injury or property damage arising from asbestos, given the severe long-tail latency and scale of asbestos related claims historically faced by insurers.

#72 · Commercial General Liability

What does the phrase arising out of mean in the context of a CGL exclusion?

Answer

It is a broad causal connector used throughout CGL wording that courts have generally interpreted to require some meaningful causal relationship, but not necessarily direct or proximate cause, between the excluded activity and the loss.

#73 · Commercial General Liability

Why do brokers recommend cross liability or severability of interests wording on a CGL policy?

Answer

Severability of interests wording treats each insured separately as if a separate policy had been issued to each, allowing one insured party to bring a claim against another insured under the same policy, which is important when a policy covers multiple related entities.

#74 · Commercial General Liability

What is a named perils versus all risks distinction relevant to, and does it apply to CGL?

Answer

That distinction generally applies to property insurance, describing whether coverage is limited to listed perils or covers all causes of loss except those excluded. CGL liability coverage instead responds based on legal liability for an occurrence or offence, not a peril list.

#75 · Commercial General Liability

What is the difference between duty to defend and duty to indemnify under a CGL policy?

Answer

The duty to defend is the insurer's obligation to provide a legal defence against a covered claim, which is often broader than the duty to indemnify, which is the obligation to pay damages the insured is legally required to pay once liability is established.

#76 · Commercial General Liability

Why might an insurer defend a claim under a reservation of rights?

Answer

A reservation of rights lets the insurer provide a defence while preserving its right to later deny coverage if it is determined the claim falls outside the policy, often used when coverage is uncertain due to a potentially applicable exclusion.

#77 · Commercial General Liability

What must a broker confirm about a client's CGL policy when the client takes on a new construction project as general contractor?

Answer

The broker should confirm that ongoing and completed operations for the new project are properly covered, that any owner-required additional insured and per-project aggregate provisions are in place, and that the policy has not excluded the type of work being performed.

#78 · Commercial General Liability

What is a manuscript endorsement in the context of CGL insurance?

Answer

A manuscript endorsement is custom wording drafted for a specific client's needs rather than a standard filed form, often used to satisfy unique contractual requirements that standard endorsements do not fully address.

#79 · Commercial General Liability

How should a broker respond when a landlord requires the tenant's CGL policy limits to be higher than the tenant currently carries?

Answer

The broker should discuss increasing the limits to satisfy the lease requirement, since failing to meet a contractual insurance requirement can leave the tenant in breach of the lease and without adequate protection if a large claim occurs.

#80 · Commercial General Liability

What is the difference between an insured's operations and an insured's products for CGL purposes?

Answer

Operations refers to the ongoing activities and services the business performs, while products refers to tangible goods the business manufactures, sells, or distributes. Both create distinct liability exposures that a CGL policy is designed to address.

#81 · Commercial General Liability

What role does the declarations page play in a CGL policy?

Answer

The declarations page identifies the named insured, policy period, limits of insurance, and the forms and endorsements that apply, serving as the summary reference point for the specific terms of that particular policy.

#82 · Commercial General Liability

Why is it critical for a broker to review endorsements attached to a CGL policy, not just the base form?

Answer

Endorsements can add, remove, or modify coverage found in the base policy form, so relying only on the base wording without checking attached endorsements can lead to a broker missing important exclusions or restrictions that actually apply to the client.

#83 · Commercial General Liability

What is the difference between the each occurrence limit and the personal and advertising injury limit within a CGL policy?

Answer

The each occurrence limit applies to Coverage A claims for a single event of bodily injury or property damage, while the personal and advertising injury limit is a separate cap specifically for Coverage B claims per person or organization.

#84 · Commercial General Liability

How can multiple related businesses sharing one location create a CGL coverage gap if not properly structured?

Answer

If only one of several related businesses is named on the CGL policy, the other related entities may not qualify as insureds for claims arising from their own activities, leaving them exposed unless they are properly added as named or additional insureds.

#85 · Commercial General Liability

What is the significance of the phrase during the policy period in the CGL insuring agreement?

Answer

It ties coverage to the specific dates shown on the declarations page, meaning the triggering event, whether an occurrence or a claim depending on the policy form, must fall within those effective dates for coverage to apply.

#86 · Commercial General Liability

Why do many commercial contracts specify a minimum CGL each occurrence limit and aggregate limit?

Answer

Contracting parties want assurance that adequate funds will be available to satisfy a judgment or settlement arising from the contracted work, so they set minimum limits as a condition of doing business together.

#87 · Commercial General Liability

What is the difference between bodily injury liability arising from products versus from premises operations?

Answer

Products liability arises from a defect in a good the insured manufactured or sold after it has left the insured's control, while premises operations liability arises from hazards present at a location the insured owns, rents, or occupies during current business activity.

#88 · Commercial General Liability

What does it mean when a CGL policy is written on a Broad Form CGL basis in Canada?

Answer

A Broad Form CGL is a package of extensions added to the standard IBC CGL form providing broader contractual liability, broadened personal injury, tenant's legal liability, and non-owned automobile coverage together as a single enhanced product.

#89 · Commercial General Liability

How does the CGL definition of insured contract treat an easement or license agreement?

Answer

Certain easement or license agreements can qualify as an insured contract depending on the specific wording used, but a broker must review the exact policy definition since not every contract automatically qualifies for the contractual liability exception.

#90 · Commercial General Liability

What common misunderstanding do clients have about CGL and cyber liability exposures?

Answer

Clients often assume a CGL policy covers data breaches or cyber related losses, but most CGL forms now exclude electronic data and cyber exposures, requiring a separate stand-alone cyber liability policy to address that risk.

#91 · Commercial General Liability

What is a key reason a broker should confirm the definition of pollutant carefully in a CGL policy?

Answer

The definition of pollutant can be extremely broad, covering substances like smoke, vapour, fumes, and waste, so a client operating in an industry with any incidental emissions may need a pollution liability endorsement to fill the gap left by the pollution exclusion.

#92 · Commercial General Liability

Why does a CGL policy generally exclude damage to property being worked on by the insured?

Answer

Damage to that particular part of property on which the insured is performing operations is treated as a business risk of faulty work rather than an insurable third party liability exposure, consistent with the broader care, custody, and control rationale.

#93 · Commercial General Liability

What does the term impaired property mean under a CGL policy and how is it treated?

Answer

Impaired property is tangible property, other than the insured's own product or work, that cannot be used because it incorporates a defective product or work of the insured but has not itself been physically injured. Loss of use of impaired property is typically excluded.

#94 · Commercial General Liability

What is the sistership exclusion sometimes found in CGL policies?

Answer

The sistership exclusion removes coverage for the withdrawal, recall, or loss of use of the insured's products or work if a known or suspected defect is discovered in one unit, out of caution that other similar units may share the same flaw.

#95 · Commercial General Liability

What is the difference between an occurrence policy's reporting clause and its trigger, and why does that distinction matter?

Answer

The trigger determines whether coverage exists based on when the injury happened, while the reporting clause sets out the insured's duty to notify the insurer promptly once aware of a claim or circumstance, even though late reporting on an occurrence policy does not usually eliminate the underlying trigger.

#96 · Commercial General Liability

Why is it important for a broker to explain the difference between primary and excess CGL layers to a client with multiple policies?

Answer

Understanding which layer responds first ensures the client knows the order in which insurers pay, prevents confusion during a claim, and helps confirm that combined limits across layers actually meet contractual or risk management requirements.

#97 · Commercial General Liability

What is the general purpose of the other insurance clause in a CGL policy?

Answer

The other insurance clause sets out how the policy responds when more than one policy could apply to the same loss, typically establishing whether the policy pays on a primary, excess, or pro rata basis relative to other applicable coverage.

#98 · Commercial General Liability

Why should a broker review a client's CGL policy annually rather than only at inception?

Answer

A client's operations, revenue, contracts, and risk exposures can change significantly over a year, and coverage or limits appropriate at inception may no longer match the client's current exposures, creating gaps if not reviewed and adjusted regularly.

#99 · Commercial General Liability

What is the practical difference to a client between a claims-made and an occurrence CGL policy when they eventually stop purchasing insurance or retire?

Answer

Under an occurrence policy the client remains protected for injuries that happened during any past active policy period, even after they stop buying coverage, while under a claims-made policy they generally need to purchase an extended reporting period to protect against claims made after coverage ends.

#100 · Commercial General Liability

Summarize why understanding CGL policy structure, Coverage A/B/C, limits, exclusions, and the products-completed operations hazard together matters for a CAIB broker.

Answer

Together these elements determine exactly what third party liability protection a commercial client actually has, where the real gaps and sub-limits lie, and what endorsements or separate policies are needed, allowing the broker to properly advise clients and avoid uninsured exposures.

#101 · Risk Management and Exposure Identification

What is risk management, in the context of a commercial insurance client?

Answer

Risk management is the organized process of identifying, analyzing, and treating pure loss exposures facing a business, with insurance being only one of several available treatment tools.

#102 · Risk Management and Exposure Identification

What are the five steps of the risk management process, in order?

Answer

Identify the exposures, analyze and evaluate them (frequency and severity), select the appropriate risk management technique, implement the chosen technique, and monitor and review the results over time.

#103 · Risk Management and Exposure Identification

Why is exposure identification called the foundation step of risk management?

Answer

A loss exposure that is never identified cannot be analyzed or treated, so every later decision in the process depends on how thorough this first step is.

#104 · Risk Management and Exposure Identification

Name the four broad categories of loss exposure a broker should survey for a commercial client.

Answer

Property exposures, liability exposures, personnel (human resources) exposures, and net income (business interruption) exposures.

#105 · Risk Management and Exposure Identification

What is a physical hazard?

Answer

A physical hazard is a tangible condition of the property or operation, such as poor wiring or cluttered storage, that increases the chance or severity of a loss.

#106 · Risk Management and Exposure Identification

What is a moral hazard?

Answer

A moral hazard is a dishonest attitude on the part of the insured that increases the chance of loss, such as intentionally causing or exaggerating a claim.

#107 · Risk Management and Exposure Identification

What is a morale hazard?

Answer

A morale hazard is carelessness or indifference to loss arising from the mere existence of insurance, such as leaving a vehicle unlocked because it is insured.

#108 · Risk Management and Exposure Identification

What is frequency in loss exposure analysis?

Answer

Frequency is how often a particular type of loss is expected to occur over a given period, used together with severity to rank and prioritize exposures.

#109 · Risk Management and Exposure Identification

What is severity in loss exposure analysis?

Answer

Severity is the expected size, or dollar magnitude, of a loss if it occurs, and is analyzed alongside frequency to decide how a given exposure should be treated.

#110 · Risk Management and Exposure Identification

What are the four classic risk treatment techniques a broker can recommend?

Answer

Avoidance, reduction (loss control), retention, and transfer, often used together rather than as a single choice for any one exposure.

#111 · Risk Management and Exposure Identification

What is risk avoidance?

Answer

Risk avoidance means eliminating an exposure entirely by not undertaking or by discontinuing the activity that creates it, such as refusing to offer a hazardous product line.

#112 · Risk Management and Exposure Identification

What is a key limitation of risk avoidance as a technique?

Answer

Avoidance often means giving up a profitable activity along with its risk, and it cannot eliminate exposures that already exist from past operations.

#113 · Risk Management and Exposure Identification

What is risk reduction (loss control)?

Answer

Risk reduction is action taken to lower either the frequency or the severity of losses without eliminating the underlying activity, such as installing sprinklers or safety training.

#114 · Risk Management and Exposure Identification

Distinguish loss prevention from loss reduction within risk control.

Answer

Loss prevention aims to reduce the frequency of losses before they happen, while loss reduction aims to minimize the severity of a loss once it has already occurred.

#115 • Risk Management and Exposure Identification

Give an example of a loss prevention measure for a commercial client.

Answer

Installing security lighting and alarm systems to reduce the likelihood of a break-in is a loss prevention measure aimed at frequency.

#116 • Risk Management and Exposure Identification

Give an example of a loss reduction measure for a commercial client.

Answer

Installing a sprinkler system that limits fire damage after ignition is a loss reduction measure aimed at severity rather than preventing the fire itself.

#117 · Risk Management and Exposure Identification

What is risk retention?

Answer

Risk retention means the insured keeps the financial responsibility for a loss, either deliberately (planned retention) or unknowingly (unplanned retention).

#118 · Risk Management and Exposure Identification

What is planned (active) retention?

Answer

Planned retention is a deliberate decision to absorb a loss exposure internally, such as choosing a higher deductible after evaluating that the exposure is affordable.

#119 · Risk Management and Exposure Identification

What is unplanned (passive) retention?

Answer

Unplanned retention occurs when an exposure is retained because it was never identified or was mistakenly believed to be insured, leaving the business exposed by accident.

#120 · Risk Management and Exposure Identification

Why is unplanned retention the most dangerous form of retention?

Answer

Because the business has no funding plan for the loss and may discover the gap only after a claim is denied, causing a financial shock the client never budgeted for.

#121 · Risk Management and Exposure Identification

What is risk transfer?

Answer

Risk transfer shifts the financial burden of a potential loss to another party, most commonly an insurer through an insurance policy, but also through contracts such as leases.

#122 · Risk Management and Exposure Identification

Name a non-insurance method of risk transfer a broker might see in a commercial lease.

Answer

A hold harmless or indemnification clause in a lease or service contract, which shifts responsibility for certain losses to the other contracting party.

#123 · Risk Management and Exposure Identification

What factor most often determines whether an exposure should be retained versus transferred?

Answer

The severity of a potential loss relative to the client's financial capacity; low-severity exposures are commonly retained while high-severity exposures are usually transferred.

#124 · Risk Management and Exposure Identification

How does a deductible reflect a combination of retention and transfer?

Answer

The insured retains losses up to the deductible amount while the insurer accepts (transfer) responsibility for losses above that amount under the policy.

#125 · Risk Management and Exposure Identification

What is a captive insurance company, in a risk financing context?

Answer

A captive is an insurance company formed and owned by a business (or group of businesses) to fund and manage its own risk, a formal method of planned retention.

#126 · Risk Management and Exposure Identification

What is self-insurance?

Answer

Self-insurance is a formal, funded program of planned retention in which a business sets aside its own reserves to pay for losses rather than transferring the risk to an insurer.

#127 · Risk Management and Exposure Identification

What role does the broker play as risk management advisor?

Answer

The broker helps the client identify exposures, recommends appropriate combinations of avoidance, reduction, retention, and transfer, and places the insurance that fits the resulting program.

#128 · Risk Management and Exposure Identification

Why should a broker conduct a physical inspection of a commercial risk rather than relying only on the application?

Answer

A physical inspection can reveal hazards, unsafe practices, or exposures the client did not think to disclose, giving the broker a fuller and more accurate picture of the risk.

#129 · Risk Management and Exposure Identification

What is a hazard survey (or risk survey)?

Answer

A hazard survey is a systematic on-site review of a client's premises and operations used to identify physical hazards and loss exposures before recommending coverage.

#130 · Risk Management and Exposure Identification

What is a checklist approach to exposure identification?

Answer

A checklist approach uses standardized lists of common property, liability, personnel, and net income exposures to systematically prompt the broker through a client's risk profile.

#131 · Risk Management and Exposure Identification

What is a flowchart approach to exposure identification?

Answer

A flowchart approach traces the client's operations step by step, from raw materials through production to delivery, to identify exposures at each stage of the business process.

#132 · Risk Management and Exposure Identification

What is a financial statement approach to exposure identification?

Answer

A financial statement approach reviews the client's balance sheet and income statement to uncover assets, liabilities, and revenue streams that represent potential loss exposures.

#133 · Risk Management and Exposure Identification

Why should a broker use more than one exposure identification method?

Answer

Each method has blind spots, so combining checklists, flowcharts, and financial statement review reduces the chance that a significant exposure is missed.

#134 · Risk Management and Exposure Identification

How does business size and complexity affect the risk management process?

Answer

Larger and more complex businesses generally face a wider range of exposures and may justify more formal, ongoing risk management programs, while smaller businesses may rely more heavily on the broker's periodic review.

#135 · Risk Management and Exposure Identification

What is contingent business interruption exposure?

Answer

Contingent business interruption exposure is the risk of lost income caused by damage to a key supplier's or customer's premises rather than the insured's own property.

#136 · Risk Management and Exposure Identification

What is the difference between direct loss and indirect (consequential) loss?

Answer

A direct loss is the immediate damage to property, such as fire damage to a building, while an indirect loss is the resulting consequence, such as lost income while the building is repaired.

#137 · Risk Management and Exposure Identification

Why must risk management be treated as an ongoing process rather than a one-time exercise?

Answer

A business's operations, assets, and exposures change over time, so exposures must be periodically reidentified and the treatment plan adjusted to remain effective.

#138 · Risk Management and Exposure Identification

What is the monitoring and review step of the risk management process meant to accomplish?

Answer

It confirms that the chosen treatment techniques are still working as intended and flags new or changed exposures so the program can be updated.

#139 · Risk Management and Exposure Identification

How can insurance itself function as a loss control incentive?

Answer

Insurers often offer premium credits or require risk improvement measures, such as sprinklers or security systems, which encourages clients to adopt loss control alongside transfer.

#140 · Risk Management and Exposure Identification

What is the cost-benefit consideration a broker should raise before recommending a loss control measure?

Answer

The cost of implementing the measure should be weighed against the expected reduction in loss frequency or severity, since some controls are not economically justified.

#141 · Risk Management and Exposure Identification

What is a peril, as distinguished from a hazard?

Answer

A peril is the actual cause of a loss, such as fire or theft, while a hazard is a condition that increases the likelihood or severity of that peril causing a loss.

#142 · Risk Management and Exposure Identification

How does a broker's advisory role differ from a pure sales role?

Answer

As an advisor the broker analyzes the client's exposures and recommends a full risk management strategy, while a pure sales role would simply place whatever coverage the client requests.

#143 · Risk Management and Exposure Identification

What duty does a broker generally owe a commercial client regarding coverage gaps discovered during exposure identification?

Answer

The broker should advise the client of any material exposure or coverage gap discovered, so the client can make an informed decision on how to treat it.

#144 · Risk Management and Exposure Identification

Why should retention decisions be documented in the client file?

Answer

Documenting a client's deliberate choice to retain a risk protects the broker by evidencing that the exposure was disclosed and the decision was the client's informed choice.

#145 · Risk Management and Exposure Identification

What is a risk management manual, and why might a larger commercial client maintain one?

Answer

A risk management manual is a written record of a business's identified exposures, treatment techniques, and procedures, used to maintain consistency and support renewals and audits.

#146 · Risk Management and Exposure Identification

How does segregation of exposures function as a loss control technique?

Answer

Segregation spreads assets or operations across separate locations so a single event cannot damage the entire exposure at once, reducing maximum probable loss.

#147 · Risk Management and Exposure Identification

What is duplication as a loss control technique?

Answer

Duplication means keeping backup copies of critical records, equipment, or supplies so a single loss does not halt operations entirely.

#148 · Risk Management and Exposure Identification

How should a broker approach an exposure with high severity but very low frequency?

Answer

Even a rare event can be catastrophic, so high-severity exposures are generally recommended for transfer through insurance rather than retention, regardless of low frequency.

#149 · Risk Management and Exposure Identification

How should a broker approach an exposure with high frequency but low severity?

Answer

Frequent, low-severity losses are often better handled through retention or loss control, since insuring every small loss can be more costly than the losses themselves.

#150 · Risk Management and Exposure Identification

What is the difference between a maximum possible loss and a maximum probable loss?

Answer

Maximum possible loss is the worst-case total loss under the most extreme circumstances, while maximum probable loss is a more realistic estimate of the worst loss likely to occur given normal conditions.

#151 · Risk Management and Exposure Identification

Why is employee training considered a personnel-related loss control measure?

Answer

Trained employees are less likely to cause accidents or liability incidents, reducing both the frequency and severity of losses tied to human error.

#152 · Risk Management and Exposure Identification

What is a hold harmless agreement's effect on risk transfer in a construction contract?

Answer

It shifts liability for certain losses from one contracting party to another, often the contractor to the subcontractor, and is usually backed by an insurance requirement in the contract.

#153 · Risk Management and Exposure Identification

Why do many commercial contracts require proof of insurance alongside a hold harmless clause?

Answer

Requiring proof of insurance ensures the party accepting the transferred liability actually has the financial capacity to honour the indemnification obligation.

#154 · Risk Management and Exposure Identification

What is an example of avoidance applied to a liability exposure rather than a property exposure?

Answer

A business declining to install playground equipment for customers' children, thereby avoiding the premises liability exposure that equipment would create.

#155 · Risk Management and Exposure Identification

How does inflation protection relate to risk retention on property values?

Answer

Underinsuring due to outdated valuations creates unplanned retention, since the client unknowingly bears the gap between the actual replacement cost and the lower insured amount.

#156 · Risk Management and Exposure Identification

What ongoing broker activity helps prevent unplanned retention over time?

Answer

Regular policy reviews and updated valuations at renewal help catch new or growing exposures before they become unplanned retention through underinsurance.

#157 · Risk Management and Exposure Identification

Why is net income exposure often overlooked compared to property and liability exposures?

Answer

Net income exposure is intangible and only becomes apparent after a direct loss interrupts operations, so it is easy to underestimate until business interruption coverage is actually needed.

#158 · Risk Management and Exposure Identification

What is a risk management committee, and why might a mid-sized commercial client form one?

Answer

A risk management committee is an internal group responsible for overseeing exposure identification and treatment decisions, helping ensure risk management stays a continuous priority rather than an annual afterthought.

#159 · Risk Management and Exposure Identification

How does the broker's advisory role support the retention-versus-transfer decision specifically?

Answer

The broker quantifies the client's risk tolerance and financial capacity, then recommends which exposures the client can safely retain and which should be transferred to an insurer.

#160 · Risk Management and Exposure Identification

Summarize why combining multiple risk treatment techniques is usually better than relying on one alone.

Answer

Most businesses face a mix of exposures with different frequency and severity profiles, so a blended program of avoidance, reduction, retention, and transfer addresses each exposure more efficiently than any single technique applied uniformly.

#161 · Canadian Legal System and Tort Law

What are the two main sources of law in Canada that a broker must understand?

Answer

Common law, which governs every province and territory except Quebec, and the Quebec Civil Code, which governs private law in Quebec. Common law develops through judicial precedent, while the Civil Code is a comprehensive written statute.

#162 · Canadian Legal System and Tort Law

What is stare decisis?

Answer

The legal doctrine that courts must follow precedents set by higher courts in previous, similar cases. It creates consistency and predictability in common law jurisdictions.

#163 · Canadian Legal System and Tort Law

What is the highest court in Canada?

Answer

The Supreme Court of Canada. It is the final court of appeal for all matters, including provincial civil, criminal, and constitutional cases, and its decisions bind every court in the country.

#164 · Canadian Legal System and Tort Law

Name the general hierarchy of courts in a typical Canadian province.

Answer

Provincial or territorial court, then superior court (trial division), then provincial court of appeal, then the Supreme Court of Canada. Superior courts have inherent jurisdiction over most civil claims.

#165 · Canadian Legal System and Tort Law

What is a tort?

Answer

A civil wrong, other than a breach of contract, that causes a person to suffer loss or harm, resulting in legal liability for the person who commits the act. Tort law is the foundation of most liability insurance claims.

#166 · Canadian Legal System and Tort Law

What is the key difference between a tort claim and a breach of contract claim?

Answer

A tort claim arises from a duty imposed by law regardless of any agreement between the parties, while a breach of contract claim arises from a duty the parties voluntarily created between themselves.

#167 · Canadian Legal System and Tort Law

What are the three main categories of torts?

Answer

Intentional torts, negligence, and strict liability. Liability insurance policies are primarily concerned with negligence, though some intentional acts may also trigger coverage disputes.

#168 · Canadian Legal System and Tort Law

What is negligence, in tort law terms?

Answer

The failure to exercise the standard of care that a reasonably prudent person would exercise in similar circumstances, resulting in harm to another person. It is the most common basis for liability claims.

#169 · Canadian Legal System and Tort Law

What four elements must a plaintiff prove to succeed in a negligence claim?

Answer

The defendant owed the plaintiff a duty of care, the defendant breached the standard of care, the breach caused the plaintiff's loss, and the plaintiff suffered actual, provable damages (loss or harm) as a result.

#170 · Canadian Legal System and Tort Law

What is duty of care?

Answer

A legal obligation requiring a person to avoid acts or omissions that could reasonably be foreseen to cause harm to others. It is the threshold question in every negligence analysis.

#171 · Canadian Legal System and Tort Law

What is the neighbour principle, and where did it originate?

Answer

The idea that a person must take reasonable care to avoid acts or omissions likely to injure their neighbour, meaning anyone closely and directly affected by their conduct. It originated in the 1932 UK case *Donoghue v Stevenson*.

#172 · Canadian Legal System and Tort Law

What is the standard of care?

Answer

The degree of caution and prudence required of a person to avoid liability for negligence, typically measured against what a reasonable person would do in the same circumstances.

#173 · Canadian Legal System and Tort Law

How does the standard of care change for a professional, such as an insurance broker?

Answer

A professional is held to the standard of a reasonably competent member of that profession, not an ordinary person, because clients rely on the professional's specialized skill and knowledge.

#174 · Canadian Legal System and Tort Law

What does causation mean in a negligence claim?

Answer

The plaintiff must show a direct link between the defendant's breach of duty and the harm suffered, often tested using the but for test, meaning the harm would not have occurred but for the defendant's conduct.

#175 · Canadian Legal System and Tort Law

What is the but for test?

Answer

A test for factual causation asking whether the plaintiff's injury would have occurred but for the defendant's negligent act. If the injury would have happened anyway, causation is not established.

#176 · Canadian Legal System and Tort Law

What is meant by remoteness of damage in negligence law?

Answer

The principle that a defendant is only liable for damages that were a reasonably foreseeable consequence of their negligent act, not for every consequence that technically flows from it, however unlikely.

#177 · Canadian Legal System and Tort Law

What is contributory negligence?

Answer

A defence where the defendant argues the plaintiff's own carelessness contributed to their loss, which can reduce the damages awarded in proportion to the plaintiff's degree of fault.

#178 · Canadian Legal System and Tort Law

How do most Canadian provinces apportion damages under contributory negligence?

Answer

Provincial negligence acts generally allow courts to apportion damages between the parties based on their relative degree of fault, rather than barring recovery entirely as older common law once did.

#179 · Canadian Legal System and Tort Law

What is voluntary assumption of risk?

Answer

A defence, sometimes called *volenti non fit injuria*, where the defendant argues the plaintiff knowingly and willingly accepted the risk of harm involved in an activity, barring recovery.

#180 · Canadian Legal System and Tort Law

What is vicarious liability?

Answer

A legal doctrine holding one party responsible for the wrongful acts of another because of the relationship between them, most commonly an employer being held liable for an employee's negligence committed within the scope of employment.

#181 • Canadian Legal System and Tort Law

What is the key test for whether an employer is vicariously liable for an employee's act?

Answer

Whether the wrongful act occurred within the scope of employment, meaning it was authorized, or was an unauthorized way of doing something the employee was authorized to do, closely connected to their duties.

#182 • Canadian Legal System and Tort Law

Is an employer generally vicariously liable for an independent contractor's negligence?

Answer

Generally no. Vicarious liability typically applies to employer-employee relationships, not to independent contractors, because the hiring party does not control the manner in which the contractor performs the work.

#183 · Canadian Legal System and Tort Law

Why does vicarious liability matter to a commercial insurance broker?

Answer

It means a client's business can be held liable for the negligent acts of its own employees, so a Commercial General Liability policy must respond to claims arising from employee conduct performed within their job duties.

#184 · Canadian Legal System and Tort Law

What is defamation?

Answer

A false statement communicated to a third party that harms another person's reputation. It includes both libel, which is written or recorded, and slander, which is spoken.

#185 · Canadian Legal System and Tort Law

What is the difference between libel and slander?

Answer

Libel is defamation in a permanent form such as writing, print, or broadcast, while slander is defamation in a transient form such as spoken words. Libel is generally treated as more serious because of its lasting nature.

#186 · Canadian Legal System and Tort Law

What are the elements a plaintiff must prove in a defamation claim?

Answer

The statement was made to a third party, it referred to the plaintiff, and it was defamatory in that it would tend to lower the plaintiff's reputation in the eyes of a reasonable person.

#187 · Canadian Legal System and Tort Law

What is the defence of truth in a defamation action?

Answer

Also called justification, it is a complete defence because a defamatory statement is only actionable if it is false. If the defendant proves the statement is substantially true, the claim fails.

#188 · Canadian Legal System and Tort Law

What is qualified privilege as a defence to defamation?

Answer

A defence protecting statements made honestly and without malice in situations where the speaker has a legal, moral, or social duty to communicate the information and the recipient has a corresponding interest in receiving it.

#189 · Canadian Legal System and Tort Law

Why is personal injury and advertising injury liability important for a broker to understand?

Answer

Because Commercial General Liability policies typically provide coverage for offences such as libel, slander, and defamation under a personal injury or personal and advertising injury insuring agreement, separate from bodily injury coverage.

#190 · Canadian Legal System and Tort Law

What is strict liability in tort law?

Answer

Liability imposed on a defendant regardless of fault or intent, typically applied to inherently dangerous activities. The plaintiff need only prove the activity caused harm, not that the defendant was careless.

#191 · Canadian Legal System and Tort Law

What is the rule in Rylands v Fletcher?

Answer

A common law principle imposing strict liability on a person who brings something dangerous onto their land that is likely to cause harm if it escapes, even without proof of negligence.

#192 · Canadian Legal System and Tort Law

What is occupiers' liability?

Answer

The legal duty owed by a person who occupies or controls premises to ensure the property is reasonably safe for people who enter it, forming the basis for most slip and fall claims against businesses.

#193 · Canadian Legal System and Tort Law

What is the general standard imposed by occupiers' liability legislation in most Canadian provinces?

Answer

The occupier must take reasonable care to see that persons entering the premises, and their property, are reasonably safe while on the premises, regardless of whether the visitor is an invitee, licensee, or in some provinces a trespasser.

#194 · Canadian Legal System and Tort Law

What is nuisance in tort law?

Answer

An unreasonable interference with a person's use and enjoyment of their land, such as excessive noise, odour, or vibration originating from a neighbouring property.

#195 · Canadian Legal System and Tort Law

What is the difference between private nuisance and public nuisance?

Answer

Private nuisance affects a specific individual's use and enjoyment of their own land, while public nuisance affects the rights of the community or public at large, such as blocking a public roadway.

#196 · Canadian Legal System and Tort Law

What is trespass to land?

Answer

The intentional and direct interference with another person's possession of land without lawful justification. Unlike negligence, trespass does not require proof of actual damage.

#197 · Canadian Legal System and Tort Law

What is joint and several liability?

Answer

A rule allowing a plaintiff to recover the full amount of damages from any one of multiple defendants found liable, leaving that defendant to seek contribution from the others in proportion to their fault.

#198 · Canadian Legal System and Tort Law

Why does joint and several liability matter to a broker placing commercial liability coverage?

Answer

A client with only minor fault could still be required to pay the entire judgment if co-defendants are unable to pay, making adequate liability limits important even when a client's own conduct was only partly responsible.

#199 · Canadian Legal System and Tort Law

What is a limitation period?

Answer

A statutory time limit within which a legal action must be started, after which the claim is generally barred. Limitation periods vary by province and by the type of claim.

#200 · Canadian Legal System and Tort Law

What is the general basic limitation period in most Canadian provinces for a civil claim?

Answer

Most provinces have adopted a general two year basic limitation period running from the date the claim was discovered, though specific exceptions and extensions apply depending on the province and claim type.

#201 · Canadian Legal System and Tort Law

What is the discoverability rule?

Answer

The principle that a limitation period begins to run not necessarily from the date of the wrongful act, but from the date the plaintiff knew or ought reasonably to have known that they had a claim.

#202 · Canadian Legal System and Tort Law

What is the burden of proof in a Canadian civil liability lawsuit?

Answer

The plaintiff must prove their case on a balance of probabilities, meaning it is more likely than not that the defendant is liable. This is a lower threshold than the criminal standard of beyond a reasonable doubt.

#203 · Canadian Legal System and Tort Law

What are compensatory damages?

Answer

Monetary awards intended to restore the plaintiff, as far as money can, to the position they would have been in had the tort not occurred, covering both economic and non-economic losses.

#204 · Canadian Legal System and Tort Law

What is the difference between general damages and special damages?

Answer

General damages compensate for losses that cannot be precisely calculated, such as pain and suffering, while special damages compensate for quantifiable out of pocket losses, such as medical bills or lost wages.

#205 · Canadian Legal System and Tort Law

What are punitive damages?

Answer

Damages awarded not to compensate the plaintiff but to punish the defendant for particularly harsh, malicious, or reprehensible conduct and to deter similar conduct in the future. They are awarded rarely in Canada.

#206 · Canadian Legal System and Tort Law

What is the Canadian cap on non-pecuniary damages for pain and suffering?

Answer

A trilogy of 1978 Supreme Court of Canada decisions established an upper limit on non-pecuniary damages for catastrophic personal injury, which is adjusted for inflation and now sits well above the original figure.

#207 · Canadian Legal System and Tort Law

How is the Quebec Civil Code different from common law in structure?

Answer

The Civil Code is a comprehensive codified body of law that judges apply and interpret, while common law relies primarily on accumulated judicial precedent, though courts in both systems still consider prior decisions for guidance.

#208 · Canadian Legal System and Tort Law

What is the Quebec Civil Code equivalent of a common law tort?

Answer

Extra-contractual civil liability, sometimes called delictual liability, which serves a similar function to tort law by imposing an obligation to compensate for harm caused by fault outside of a contract.

#209 · Canadian Legal System and Tort Law

Why does a national insurance broker need at least a basic understanding of Quebec's civil law system?

Answer

Because policies and claims involving Quebec risks or Quebec residents are governed by the Civil Code rather than common law principles, which can affect how liability, damages, and contractual obligations are interpreted.

#210 · Canadian Legal System and Tort Law

What is res ipsa loquitur?

Answer

A Latin phrase meaning the thing speaks for itself, an evidentiary principle allowing an inference of negligence when an accident is of a type that would not normally occur without negligence and the cause was within the defendant's control.

#211 · Canadian Legal System and Tort Law

What is a fiduciary duty, and why does it matter to an insurance broker?

Answer

A fiduciary duty is a heightened legal obligation to act in another person's best interests with utmost good faith. Some Canadian courts have found brokers owe clients fiduciary-like obligations because of the trust and reliance involved in the relationship.

#212 · Canadian Legal System and Tort Law

What is errors and omissions exposure for a broker rooted in?

Answer

It is rooted in the tort of negligence and the broker's professional duty of care to clients, arising when a broker fails to procure requested coverage, fails to advise of a gap, or otherwise falls below the standard of a reasonably competent broker.

#213 · Canadian Legal System and Tort Law

What is the difference between an intentional tort and negligence?

Answer

An intentional tort requires the defendant to have intended the act that caused harm, such as assault or trespass, while negligence only requires a failure to meet a reasonable standard of care, with no intent to cause harm required.

#214 · Canadian Legal System and Tort Law

What is contribution and indemnity between co-defendants?

Answer

The legal right of a defendant who has paid more than their proportionate share of damages to recover the excess from other defendants who share responsibility for the same loss, governed by provincial negligence legislation.

#215 · Canadian Legal System and Tort Law

What is the role of the Federal Court of Canada?

Answer

It hears matters within federal jurisdiction, such as claims involving federal boards, maritime law, intellectual property, and disputes between the federal government and citizens, and does not generally hear typical provincial tort claims.

#216 · Canadian Legal System and Tort Law

What is a class action, and why is it relevant to commercial liability insurance?

Answer

A class action allows one or more plaintiffs to sue on behalf of a larger group with similar claims against the same defendant. It can dramatically increase a defendant's total liability exposure, making adequate limits and defence cost provisions essential.

#217 · Canadian Legal System and Tort Law

What is the difference between an occurrence trigger and a claims-made trigger in a liability policy, in relation to when a tort happens?

Answer

An occurrence trigger responds based on when the injury or damage actually took place, while a claims-made trigger responds based on when the claim was first reported, regardless of when the underlying tortious act occurred.

#218 · Canadian Legal System and Tort Law

Why do aggregate limits matter given how tort damages can accumulate?

Answer

An aggregate limit caps the total amount an insurer will pay for all claims within a policy period, which is important because a single negligent act, such as a defective product, can generate multiple claims and cumulative damages.

#219 · Canadian Legal System and Tort Law

What is the proper party defendant concept, and why should a broker understand it?

Answer

It refers to identifying which legal entity is actually responsible for a wrongful act, which matters because a broker must ensure the correct named insured and any relevant additional insureds are properly identified on a liability policy.

#220 · Canadian Legal System and Tort Law

Why is understanding tort law fundamental to a commercial insurance broker's job?

Answer

Because Commercial General Liability insurance exists to respond to a client's legal liability arising from tort claims, so a broker cannot properly assess exposures, recommend coverage, or explain a claim decision without understanding how negligence and liability actually work.

#221 • Marine Insurance

What is the basic distinction between ocean marine insurance and inland marine insurance?

Answer

Ocean marine insurance covers vessels, cargo, and liability arising from transport over the sea, while inland marine insurance, despite its name, has nothing to do with inland waterways. It instead covers goods in transit over land, mobile or unique-valuation property, and certain instrumentalities of transportation and communication such as bridges, tunnels, and communication equipment. Both trace back to the same marine insurance origins but split as trade moved onto land routes.

#222 • Marine Insurance

Why does inland marine insurance also cover some fixed property, not just goods in transit?

Answer

Inland marine grew out of transportation coverage but expanded through the nationwide marine definition to include instrumentalities of transportation and communication, such as bridges, tunnels, and pipelines. This historical expansion is why property that never moves can still be classed as inland marine.

#223 · Marine Insurance

What does a hull policy insure?

Answer

A hull policy insures the vessel itself, meaning its physical structure, machinery, and equipment. Modern Canadian hull forms are broadly all-risks in structure rather than named-perils, subject to standard exclusions such as war, strikes, wear and tear, and inherent vice. It protects the shipowner's financial interest in the vessel as an asset.

#224 · Marine Insurance

What is a cargo policy designed to protect?

Answer

A cargo policy protects the owner of goods being shipped against physical loss or damage to the cargo while it is in transit. It can be arranged as a single voyage policy or as an open cargo policy covering ongoing shipments.

#225 · Marine Insurance

What does marine liability insurance respond to?

Answer

Marine liability insurance responds to a shipowner's or operator's legal liability for injury, death, or property damage caused to third parties, such as collision damage to another vessel or cargo owned by others. It is distinct from hull and cargo coverage, which protect the insured's own property.

#226 · Marine Insurance

Define general average.

Answer

General average is a principle where, if a voluntary and reasonable sacrifice or expenditure is made to save a marine venture from a common peril, all parties who benefit share the loss proportionately. It applies even to cargo owners whose goods were not sacrificed, as long as the venture as a whole was saved.

#227 · Marine Insurance

Give a classic example of a general average act.

Answer

Jettisoning cargo overboard to lighten a ship in danger of sinking is a classic general average act. The owner of the sacrificed cargo can claim a proportionate contribution from the ship and all other cargo interests that were saved.

#228 · Marine Insurance

What three conditions must be met for a general average act to be valid?

Answer

The act must be voluntary and intentional, made in a time of real peril to the common venture, and reasonable in the circumstances. If any of these elements is missing, the loss is treated as a particular average instead.

#229 · Marine Insurance

Define particular average.

Answer

Particular average is a partial loss to a specific interest, such as the ship or one shipment of cargo, that is borne solely by the owner of that property or its insurer. Unlike general average, there is no sharing of the loss among all parties to the voyage.

#230 · Marine Insurance

How does particular average differ from general average in terms of who pays?

Answer

In particular average, only the owner of the damaged property, or that owner's own insurer, bears the loss. In general average, the loss is spread proportionately across all parties whose property was saved by the sacrifice, based on each party's contributory value.

#231 · Marine Insurance

What is a marine warranty?

Answer

A marine warranty is a promise by the insured that a particular fact is true or that a particular thing will or will not be done, and it must be exactly complied with regardless of whether it is material to the actual loss. Breach of a warranty can discharge the insurer from liability from the date of breach.

#232 · Marine Insurance

Name the implied warranty of seaworthiness in a voyage policy.

Answer

In a voyage policy, there is an implied warranty that the vessel is seaworthy at the commencement of the voyage, meaning fit in every respect to encounter the ordinary perils of the sea. This implied warranty generally does not apply in the same way to time policies.

#233 · Marine Insurance

What is the implied warranty of legality in marine insurance?

Answer

The implied warranty of legality requires that the adventure insured is lawful and, so far as the insured can control the matter, that it will be carried out in a lawful manner. A marine policy cannot indemnify an insured for losses arising from an illegal venture.

#234 · Marine Insurance

How does an express warranty differ from an implied warranty in marine insurance?

Answer

An express warranty is written directly into the policy, such as a promise that a vessel will not sail after a certain date or will maintain a certain classification. An implied warranty, like seaworthiness, arises automatically by operation of marine insurance law even though it is not stated in the wording.

#235 · Marine Insurance

What is the effect of breaching a marine warranty, even if the breach did not cause the loss?

Answer

Under traditional marine insurance principles, breach of a warranty automatically discharges the insurer from liability from the date of the breach, whether or not the breach had any connection to the actual loss claimed. This strict rule distinguishes marine warranties from ordinary policy conditions.

#236 · Marine Insurance

What is an open cargo policy and why do frequent shippers use one?

Answer

An open cargo policy automatically covers all shipments made by the insured within described terms, without needing a new policy issued for every voyage. Frequent shippers use it to avoid arranging separate coverage each time goods move, ensuring continuous automatic protection.

#237 · Marine Insurance

What is a certificate of insurance in ocean cargo shipping?

Answer

A certificate of insurance is a document issued under an open cargo policy that evidences coverage for a specific shipment, often required by banks or buyers under a letter of credit. It confirms to third parties that the goods in transit are insured without disclosing the full policy wording.

#238 · Marine Insurance

What does Institute Cargo Clauses (A) provide compared to (B) and (C)?

Answer

Institute Cargo Clauses (A) provides the broadest all risks style coverage subject to specific exclusions, while (B) and (C) provide progressively narrower coverage for named perils only. A broker should match the clause set to the client's risk tolerance and the value or fragility of the cargo.

#239 · Marine Insurance

What is a protection and indemnity club, often called a P&I; club?

Answer

A P&I; club is a mutual association of shipowners that provides liability coverage for risks not typically covered under a standard hull policy, such as cargo damage liability, crew injury, and pollution liability. Members share the risk on a mutual basis rather than buying coverage from a traditional insurer.

#240 · Marine Insurance

What is a collision liability clause, sometimes called the running down clause, in a hull policy?

Answer

The running down clause extends hull coverage to include the shipowner's legal liability for damage caused to another vessel and its cargo following a collision, usually up to a stated proportion of the insured value. It complements P&I; coverage, which typically picks up the remainder and other liability exposures.

#241 · Marine Insurance

Why is marine insurance historically considered a specialized branch of insurance law?

Answer

Marine insurance developed its own body of case law and statutory rules, such as those reflected in marine insurance acts, long before general property and liability insurance principles were codified. Concepts like general average, particular average, and strict warranty compliance are distinctly marine in origin.

#242 · Marine Insurance

What does the term perils of the sea mean in marine insurance?

Answer

Perils of the sea refers to fortuitous accidents or casualties peculiar to transport on water, such as heavy weather, stranding, or collision, rather than ordinary wear and tear or the inevitable action of wind and waves. It is a named peril concept central to many marine policies.

#243 • Marine Insurance

How does inland marine insurance treat bailee's customers goods coverage?

Answer

Bailee's customers goods coverage under inland marine insurance protects a business, such as a dry cleaner or warehouse, against liability for damage to customers' property while it is in the bailee's care, custody, or control. It fills a gap left by standard commercial property or liability forms.

#244 • Marine Insurance

What is the nationwide marine definition and why does it matter to a Canadian broker?

Answer

The nationwide marine definition is the traditional framework describing what property and activities qualify for inland marine treatment, including goods in transit, instrumentalities of transportation, and certain classes of movable property. A broker uses it to determine whether a risk belongs in an inland marine form rather than standard property coverage.

#245 · Marine Insurance

What is a builder's risk marine policy used for?

Answer

A builder's risk marine policy, sometimes arranged under an inland marine form, covers a vessel or structure being built or repaired against loss during the construction period. It responds to damage that could delay or increase the cost of completing the project.

#246 · Marine Insurance

What is the significance of a bill of lading to a cargo insurance claim?

Answer

The bill of lading is a document issued by the carrier that serves as evidence of the contract of carriage, a receipt for the goods, and often a document of title. In a cargo claim, it helps establish the condition of the goods when shipped and the terms under which they were carried.

#247 · Marine Insurance

What is a marine survey and when might an insurer require one?

Answer

A marine survey is a professional inspection of a vessel's condition, often required before binding hull coverage on an older or higher value vessel, to confirm seaworthiness and identify any conditions needing repair. Insurers use survey findings to underwrite the risk and may impose warranties based on the results.

#248 · Marine Insurance

How is contributory value used in a general average calculation?

Answer

Contributory value is the value assigned to each interest in the venture, such as the ship, the freight, and each cargo owner's goods, that survived the peril and benefited from the sacrifice. Each party's share of the general average loss is calculated in proportion to its contributory value relative to the total.

#249 · Marine Insurance

What is a general average bond or average guarantee used for?

Answer

A general average bond or guarantee is a document signed by cargo owners, or their insurer on their behalf, agreeing to pay their proportionate share of a general average contribution before the cargo is released. It allows goods to be delivered promptly while the final adjustment is completed.

#250 · Marine Insurance

What does barratry mean as a marine peril?

Answer

Barratry is a wrongful act committed by the master or crew of a vessel to the detriment of the shipowner or cargo owner, such as intentional scuttling or theft, done without the owner's knowledge or consent. Many marine policies specifically name barratry as a covered peril.

#251 · Marine Insurance

A cargo owner ships goods under an open cargo policy and needs proof of coverage for a bank letter of credit. What document should the broker arrange?

Answer

The broker should arrange a certificate of insurance issued under the open cargo policy, confirming coverage for that specific shipment. This satisfies the bank's requirement without needing to issue an entirely new policy.

#252 · Marine Insurance

A ship's captain orders cargo thrown overboard to keep the vessel from capsizing in a storm, and the vessel and remaining cargo are saved. What marine principle applies?

Answer

This is a general average act, since the sacrifice was voluntary, made under real peril to the common venture, and reasonable in the circumstances. The owner of the jettisoned cargo can claim a proportionate contribution from all parties whose property was saved.

#253 · Marine Insurance

A single container of goods is damaged by rough handling during loading, with no threat to the vessel or other cargo. How is this loss classified?

Answer

This is a particular average loss, since it affects only that one interest and there was no common peril requiring a sacrifice for the benefit of the whole venture. The loss falls on the cargo owner or that owner's own cargo insurer alone.

#254 · Marine Insurance

A hull policy warrants that a vessel will not travel north of a stated latitude during winter months. The vessel breaches this and later sinks from an unrelated mechanical failure. What is the likely result?

Answer

Because marine warranties must be strictly complied with regardless of causation, the breach can discharge the insurer from liability from the date of the breach, even though the mechanical failure was unrelated to the geographic breach. This strict compliance rule is a defining feature of marine insurance warranties.

#255 • Marine Insurance

A shipowner wants protection against liability for injury to crew members and pollution cleanup costs, exposures not fully covered by the hull policy. What coverage should the broker recommend?

Answer

The broker should recommend protection and indemnity coverage, typically obtained through a P&I; club, since it is designed to cover liability exposures like crew injury and pollution that fall outside standard hull coverage. Hull insurance primarily protects the physical vessel itself.

#256 • Marine Insurance

Two vessels collide and one damages the other along with its cargo. Which clause in the at-fault vessel's hull policy responds to the liability for the other vessel's damage?

Answer

The collision liability clause, also called the running down clause, responds to the at-fault vessel's legal liability for damage to the other vessel and its cargo. It typically covers a stated proportion of the loss, with remaining exposures picked up by P&I; coverage.

#257 • Marine Insurance

A manufacturer regularly ships goods to customers across Canada and wants to avoid arranging a new policy for every shipment. What type of cargo policy fits this need?

Answer

An open cargo policy fits this need, since it automatically covers shipments made within the described terms without requiring a separate policy for each voyage. This gives the manufacturer continuous protection with less administrative burden.

#258 • Marine Insurance

A dry cleaner is sued after a customer's expensive coat is destroyed in a fire while in the dry cleaner's care. What type of coverage would respond?

Answer

Bailee's customers goods coverage, an inland marine form, would respond, since it covers a bailee's legal liability for loss to customers' property in its care, custody, or control. Standard commercial property or general liability forms often exclude this exposure.

#259 · Marine Insurance

An underwriter requires an inspection of an older fishing vessel before agreeing to write hull coverage. What is this inspection called?

Answer

This inspection is called a marine survey, and it is used to confirm the vessel's seaworthiness and condition before binding coverage. Findings from the survey may also lead to specific warranties being added to the policy.

#260 · Marine Insurance

A cargo shipment is insured under Institute Cargo Clauses (C). What kind of coverage should the client expect compared to (A)?

Answer

The client should expect narrower, named perils coverage under (C), covering fewer causes of loss than the broader coverage provided under Institute Cargo Clauses (A). A broker should discuss whether the client's cargo value and risk tolerance justify upgrading to (A) or (B).

#261 · Marine Insurance

What does the term adventure mean in the context of a marine policy's implied warranty of legality?

Answer

The adventure refers to the marine venture being insured, meaning the voyage or transportation activity itself. The implied warranty of legality requires that this adventure is lawful and carried out lawfully to the extent the insured can control it.

#262 · Marine Insurance

Why might a broker place both hull coverage and P&I; coverage for the same vessel with different providers?

Answer

Hull coverage from a traditional marine insurer protects the physical vessel, while P&I; coverage is typically obtained through a mutual club structure designed specifically for liability exposures like crew injury, cargo liability, and pollution. The two forms of protection serve distinct purposes and are often sourced separately.

#263 · Marine Insurance

What is meant by a time policy versus a voyage policy in marine insurance?

Answer

A time policy insures a vessel for a fixed period, such as one year, regardless of how many voyages it makes, while a voyage policy insures a single specific voyage from one port to another. The implied warranty of seaworthiness applies differently depending on which type of policy is used.

#264 · Marine Insurance

How does the concept of insurable interest apply to a cargo owner arranging marine cargo insurance?

Answer

The cargo owner must have a genuine financial interest in the goods at the time of loss, meaning they would suffer a real financial detriment if the cargo were lost or damaged. Without insurable interest, the cargo policy would not be enforceable as a valid contract of indemnity.

#265 · Marine Insurance

What role does average adjusting play after a general average event?

Answer

An average adjuster is a specialist who calculates the value of the sacrifice or expenditure and apportions the general average contribution among all parties based on their contributory values. This technical process ensures each party pays a fair proportionate share.

#266 · Marine Insurance

What is a total loss versus a partial loss in marine insurance terminology?

Answer

A total loss occurs when the insured subject matter is completely destroyed or so damaged it ceases to exist as the thing insured, while a partial loss is damage falling short of total destruction. Particular average is a form of partial loss affecting one specific interest.

#267 · Marine Insurance

What is constructive total loss in marine insurance?

Answer

A constructive total loss occurs when the cost of repairing or recovering the insured property would exceed its repaired value, or when the insured is deprived of the property with little chance of recovery. The insured can choose to abandon the property to the insurer and claim as if it were an actual total loss.

#268 · Marine Insurance

What is the doctrine of abandonment in a constructive total loss claim?

Answer

Abandonment allows the insured, upon proving a constructive total loss, to give up all rights in the damaged property to the insurer in exchange for payment as though a full total loss had occurred. The insurer then acquires any salvage value or remaining rights in the property.

#269 · Marine Insurance

How does salvage relate to marine insurance claims?

Answer

Salvage refers to property or value recovered from a marine casualty, and an insurer paying a total loss claim generally becomes entitled to any salvage value recovered from the damaged property. Salvage proceeds help offset the amount the insurer ultimately pays out.

#270 · Marine Insurance

What is meant by subrogation in the marine insurance context?

Answer

Subrogation allows an insurer that has paid a claim to step into the insured's shoes and pursue recovery from a third party responsible for the loss, such as a negligent carrier. This prevents the insured from recovering twice for the same loss.

#271 · Marine Insurance

Why is marine cargo insurance especially important in international trade transactions?

Answer

Marine cargo insurance protects the value of goods while they are beyond the direct control of either the buyer or seller during international shipment, and is often a required term under sale contracts such as those using standard trade terms. Without it, either party could face uninsured financial exposure if goods are lost or damaged in transit.

#272 · Marine Insurance

What kind of exclusion would typically apply to inherent vice in a cargo policy?

Answer

Inherent vice refers to loss caused by the natural behaviour or characteristic of the goods themselves, such as spontaneous deterioration, rather than an external fortuitous cause. Most cargo policies exclude loss caused by inherent vice since it is not an insurable fortuitous peril.

#273 · Marine Insurance

What does deviation mean in marine insurance and why does it matter?

Answer

Deviation means an unjustified departure from the agreed or customary route of the insured voyage. An unjustified deviation can discharge the insurer from liability from the point of deviation, similar in effect to a breach of warranty.

#274 · Marine Insurance

What is meant by warehouse to warehouse coverage in a cargo policy?

Answer

Warehouse to warehouse coverage extends protection from the moment goods leave the shipper's warehouse until they reach the consignee's final warehouse, covering the full transit chain rather than only the ocean voyage segment. This closes gaps that could otherwise arise during inland legs of the journey.

#275 · Marine Insurance

How does freight insurance differ from hull and cargo insurance?

Answer

Freight insurance protects the shipowner's or carrier's interest in the freight revenue that would be lost if the voyage cannot be completed due to an insured peril. It is a distinct interest from the physical vessel covered under hull insurance and the goods covered under cargo insurance.

#276 · Marine Insurance

What is a marine insurance slip and how does it function in placing coverage?

Answer

A slip is a preliminary document used, often in a marine market, summarizing the key terms of a proposed risk that underwriters initial to indicate their acceptance of a share of the risk. It evidences the agreement before the full policy wording is issued.

#277 · Marine Insurance

Why do marine liability exposures sometimes require both a P&I; club and traditional commercial general liability coverage?

Answer

P&I; clubs are designed specifically around maritime liability exposures such as cargo damage, crew injury, and pollution, while shore-based commercial general liability coverage addresses exposures arising from a company's land-based operations, such as an office or warehouse. A broker should review both exposures to avoid coverage gaps.

#278 · Marine Insurance

What is meant by a franchise clause in older marine cargo policies?

Answer

A franchise clause states that the insurer will not pay a partial loss unless it exceeds a specified percentage of the insured value, but once that threshold is met the full loss is paid without a deduction. This differs from a straight deductible, which is always subtracted regardless of loss size.

#279 · Marine Insurance

What is meant by the term underwriter in the historical context of marine insurance?

Answer

The term underwriter originates from marine insurance practice, where individuals would write their name under the terms of a risk on a slip to indicate the portion of the risk they agreed to accept. This practice is the origin of the modern term used across all lines of insurance.

#280 · Marine Insurance

Summarize the key difference a broker should explain to a client between hull, cargo, and marine liability coverage.

Answer

Hull insurance protects the vessel itself, cargo insurance protects the goods being transported, and marine liability insurance protects against the insured's legal responsibility for harm caused to third parties. A complete marine insurance program often requires a combination of all three depending on the client's role in the shipping venture.

#281 · Commercial Automobile Insurance

What does the term 'owned automobile' mean under a commercial auto policy?

Answer

An owned automobile is any vehicle registered in the named insured's name and specifically described on the policy, or one the insured acquires during the policy term that the insurer agrees to cover as a newly acquired vehicle.

#282 · Commercial Automobile Insurance

What is a 'non-owned automobile' in a commercial auto context?

Answer

A non-owned automobile is a vehicle the named insured does not own but that is used in connection with the insured's business, such as an employee's personal vehicle used for company errands.

#283 · Commercial Automobile Insurance

Why does a business need non-owned automobile liability coverage?

Answer

Because the business can be held vicariously liable when an employee uses a personal or rented vehicle for work purposes, and the employee's own personal auto policy may not adequately protect the employer's interest.

#284 · Commercial Automobile Insurance

What is a 'hired automobile' under a commercial auto policy?

Answer

A hired automobile is a vehicle leased, hired, rented, or borrowed by the named insured for use in the business, without a driver supplied by the owner.

#285 · Commercial Automobile Insurance

How does hired auto liability coverage typically respond?

Answer

It provides liability protection for the named insured while operating a hired or rented vehicle, and typically responds as primary coverage, since a rental or leasing company generally does not carry its own third-party liability insurance on the renter's behalf. It is non-owned automobile liability, not hired auto liability, that responds excess over the personal policy of the vehicle actually being driven.

#286 · Commercial Automobile Insurance

Does hired automobile coverage usually include physical damage protection?

Answer

Not automatically; physical damage on hired autos is often a separate endorsement covering loss of use and damage to the rented vehicle itself, since standard liability sections do not cover the insured's own damaged property.

#287 · Commercial Automobile Insurance

What business situation commonly requires all three of owned, non-owned, and hired auto coverage?

Answer

A company whose staff drive company vehicles, occasionally use their own cars for business, and sometimes rent vehicles while travelling needs all three coverages to close every liability gap.

#288 · Commercial Automobile Insurance

What is a garage policy designed to insure?

Answer

A garage policy is designed for businesses in the automobile trade, such as dealerships, repair shops, and service stations, covering their premises operations, customers' vehicles in their care, and their own owned and operated vehicles.

#289 · Commercial Automobile Insurance

What is 'garage liability' coverage?

Answer

Garage liability covers the garage operator's legal liability arising from premises operations and automobile operations conducted in connection with the garage business, including work performed on customer vehicles.

#290 · Commercial Automobile Insurance

What is 'garagekeepers' coverage?

Answer

Garagekeepers coverage protects customers' automobiles that are in the care, custody, or control of the garage operator for service, repair, storage, or parking, against damage while on the premises.

#291 · Commercial Automobile Insurance

How does garagekeepers coverage differ from garage liability coverage?

Answer

Garagekeepers coverage responds to physical damage to a customer's vehicle while it is in the garage's care, while garage liability responds to the garage's legal liability for bodily injury or property damage to third parties.

#292 · Commercial Automobile Insurance

What is 'dealers' coverage' within a garage policy typically meant to insure?

Answer

Dealers' coverage insures the dealer's inventory of vehicles held for sale, including physical damage while on the lot, in transit, or on demonstration or test drives.

#293 · Commercial Automobile Insurance

Who is typically an insured under the driving-others'-vehicles provisions of a garage policy?

Answer

Employees of the garage business are typically insured while test driving, delivering, or otherwise operating customers' vehicles or dealer inventory in the course of their employment duties.

#294 · Commercial Automobile Insurance

What is fleet rating in commercial automobile insurance?

Answer

Fleet rating is a rating method applied when a business owns a defined minimum number of vehicles, typically five or more, allowing the insurer to rate the entire group of vehicles together rather than individually.

#295 · Commercial Automobile Insurance

What advantage does fleet rating generally offer a commercial auto client?

Answer

Fleet rating often produces more favourable and stable premiums because the insurer spreads risk across a larger pool of vehicles and considers the insured's overall loss experience rather than each unit separately.

#296 · Commercial Automobile Insurance

What factors commonly influence a fleet's overall rating?

Answer

Fleet size, vehicle types and uses, radius of operation, driver records, claims history, and the industry classification of the insured business all commonly influence the overall fleet rate.

#297 · Commercial Automobile Insurance

How does 'radius of operation' affect commercial auto rating?

Answer

Radius of operation measures how far vehicles typically travel from their home base, since long-haul operations generally present greater exposure to loss than local delivery routes and are rated accordingly.

#298 · Commercial Automobile Insurance

What is the significance of vehicle 'use classification' in commercial auto underwriting?

Answer

Use classification, such as pleasure, commute, business, or for-hire use, helps the insurer assess exposure because vehicles used for delivery or transporting goods for compensation carry higher risk than occasional business use.

#299 · Commercial Automobile Insurance

What does 'Section A' of a standard commercial automobile policy typically provide?

Answer

Section A provides third-party liability coverage, protecting the insured against claims for bodily injury or property damage caused to others arising from the ownership or operation of an insured automobile.

#300 · Commercial Automobile Insurance

What does 'Section B' of a standard commercial automobile policy typically provide?

Answer

Section B provides accident benefits coverage, offering statutory no-fault benefits to the insured and certain other persons injured in an automobile accident, regardless of fault.

#301 · Commercial Automobile Insurance

What does 'Section C' of a standard commercial automobile policy typically provide?

Answer

Section C provides loss or damage coverage to the insured's own automobile, commonly split into collision or upset coverage and comprehensive or specified perils coverage.

#302 · Commercial Automobile Insurance

What does 'Section D' of a standard commercial automobile policy typically provide?

Answer

A commercial policy typically adds Section D or similar endorsements addressing uninsured motorist protection and family protection coverage, responding to loss caused by an uninsured or unidentified motorist responsible for an accident.

#303 · Commercial Automobile Insurance

What is the difference between collision coverage and comprehensive coverage under physical damage?

Answer

Collision coverage responds to damage from the vehicle upsetting or colliding with another object, while comprehensive coverage responds to most other perils such as fire, theft, vandalism, and falling objects, excluding collision.

#304 · Commercial Automobile Insurance

What is 'specified perils' coverage as an alternative to comprehensive coverage?

Answer

Specified perils coverage insures only the perils explicitly listed in the policy, such as fire, theft, and lightning, and is narrower and generally less expensive than full comprehensive coverage.

#305 · Commercial Automobile Insurance

What is 'all perils' coverage under Section D?

Answer

All perils coverage combines collision and comprehensive coverage into a single insuring agreement, providing broad physical damage protection subject to the policy's exclusions.

#306 · Commercial Automobile Insurance

How is a deductible applied under physical damage coverage?

Answer

The deductible is the amount the insured must absorb before the insurer pays a physical damage claim, and it typically applies separately to collision and to comprehensive or specified perils coverage.

#307 · Commercial Automobile Insurance

What third-party liability limit is generally considered the minimum standard in most Canadian provinces?

Answer

Most provinces set a minimum third-party liability limit of 200,000 dollars, though commercial policies commonly carry much higher limits given the greater exposure of business operations.

#308 · Commercial Automobile Insurance

Why do commercial fleets typically purchase liability limits well above the provincial minimum?

Answer

Because commercial vehicles often cause more severe losses due to size, cargo, and frequency of use, and courts commonly award damages in serious accidents that far exceed minimum statutory limits.

#309 · Commercial Automobile Insurance

What is an 'excess liability' or 'umbrella' policy used for in a commercial fleet program?

Answer

An excess liability or umbrella policy sits above the primary commercial auto and general liability limits, providing additional liability protection once the underlying policy limits are exhausted.

#310 · Commercial Automobile Insurance

What is contingent liability coverage in the hired and non-owned auto context?

Answer

Contingent liability coverage protects the named insured business when a hired or non-owned vehicle's own primary insurance is insufficient or does not respond, filling the gap in the employer's protection.

#311 · Commercial Automobile Insurance

What information does a broker typically need to accurately rate a commercial fleet?

Answer

The broker needs a full vehicle schedule with year, make, model, VIN, use, radius of operation, driver information, loss history, and gross vehicle weight for each unit in the fleet.

#312 · Commercial Automobile Insurance

What is the purpose of a driver's abstract in commercial auto underwriting?

Answer

A driver's abstract provides the insurer with a driver's licensing history, including convictions and demerit points, helping assess the risk each driver presents to the fleet.

#313 · Commercial Automobile Insurance

How does gross vehicle weight rating affect commercial auto classification?

Answer

Heavier vehicles are generally classified into higher-risk categories because they can cause more severe damage in a collision and often require special licensing and safety compliance.

#314 · Commercial Automobile Insurance

What is a 'newly acquired automobile' provision designed to do?

Answer

This provision automatically extends coverage to a vehicle the insured acquires during the policy term for a limited period, giving the broker time to report the addition and adjust the schedule.

#315 · Commercial Automobile Insurance

Why must a broker promptly report fleet additions and deletions to the insurer?

Answer

Because automatic coverage for newly acquired vehicles is time-limited and premium is based on an accurate vehicle schedule, so delayed reporting can leave a gap in coverage or create a rating discrepancy.

#316 · Commercial Automobile Insurance

What is 'loss of use' coverage in a commercial auto or garage context?

Answer

Loss of use coverage reimburses the insured or a customer for the cost of a replacement vehicle or lost income while a covered vehicle is being repaired following an insured loss.

#317 · Commercial Automobile Insurance

What is a common exclusion under commercial automobile physical damage coverage?

Answer

Wear and tear, mechanical breakdown, and damage from freezing are common exclusions, since physical damage coverage is intended to respond to sudden accidental loss rather than gradual deterioration.

#318 · Commercial Automobile Insurance

How does the 'permission' requirement affect who is covered while driving an owned automobile?

Answer

Coverage under most sections extends to any person operating the automobile with the named insured's consent, meaning an unauthorized driver would generally not be protected under the policy.

#319 · Commercial Automobile Insurance

What is a 'drive other automobiles' endorsement typically used for?

Answer

This endorsement extends an individual's personal automobile liability coverage to other vehicles they drive that are not owned by them or a household member, often used by executives who drive company vehicles.

#320 · Commercial Automobile Insurance

Why might an employer require employees to maintain their own minimum auto liability limits before using personal vehicles for business?

Answer

Requiring adequate personal limits ensures the employee's own policy responds first and reduces the employer's exposure under non-owned automobile liability coverage.

#321 · Commercial Automobile Insurance

What is a common underwriting concern with a commercial fleet that includes long-haul trucking?

Answer

Underwriters focus on driver hours-of-service compliance, cargo type, radius of operation, and maintenance records, since long-haul trucking carries higher severity exposure than local delivery.

#322 · Commercial Automobile Insurance

What does 'for-hire' vehicle use mean in commercial auto classification?

Answer

For-hire use means the vehicle transports goods or passengers for a fee, which increases exposure and typically requires a higher rating classification and specific coverage confirmation.

#323 · Commercial Automobile Insurance

What role does cargo coverage play alongside a commercial auto policy for a trucking operation?

Answer

Cargo coverage, often placed as a separate policy or endorsement, protects goods being transported against loss or damage, since the standard auto policy does not cover the insured's cargo.

#324 · Commercial Automobile Insurance

What is a common reason a broker recommends higher physical damage limits for specialized commercial vehicles?

Answer

Specialized vehicles, such as those with custom equipment or refrigeration units, often have a replacement value well above a standard vehicle, so the physical damage limit must reflect the true value of the unit.

#325 · Commercial Automobile Insurance

What is meant by 'actual cash value' when settling a commercial physical damage claim?

Answer

Actual cash value is the cost to replace the damaged vehicle with one of similar age, condition, and mileage, factoring in depreciation, rather than the original purchase price.

#326 · Commercial Automobile Insurance

How can a broker help a client avoid a coinsurance-type shortfall on a commercial fleet's physical damage schedule?

Answer

By ensuring each vehicle's insured value on the schedule reflects its current market value, since undervaluing a unit can result in an inadequate settlement following a total loss.

#327 · Commercial Automobile Insurance

Why is accident benefits coverage still required on a commercial automobile policy even though the business carries workers compensation?

Answer

Accident benefits under Section B may cover injured non-employees, such as passengers or third parties, and can supplement statutory benefits in situations workers compensation does not address.

#328 · Commercial Automobile Insurance

What is the purpose of an 'omnibus clause' in an automobile liability policy?

Answer

An omnibus clause extends liability protection to any person who operates the insured vehicle with the owner's consent, ensuring coverage follows the vehicle rather than only the named insured.

#329 · Commercial Automobile Insurance

How does a garage policy typically handle liability arising from completed repair work?

Answer

It generally provides products and completed operations coverage extending liability protection for claims arising after the repaired vehicle has left the garage's care, subject to policy terms.

#330 · Commercial Automobile Insurance

What is a key difference between a garage policy and a standard commercial fleet policy?

Answer

A garage policy is designed around the exposures of an automobile-related business, including customer vehicles and dealer inventory, while a standard fleet policy insures only the vehicles the business owns and operates.

#331 · Commercial Automobile Insurance

What does 'demonstration use' mean in a garage or dealer policy context?

Answer

Demonstration use refers to a prospective customer test driving a dealer's vehicle, and the policy must confirm that both the customer and an accompanying salesperson are covered during that drive.

#332 · Commercial Automobile Insurance

Why is a broker's role important when a client's business changes from local delivery to interprovincial trucking?

Answer

Because the change in radius of operation and use classification significantly affects exposure, and the broker must update the policy to ensure coverage and rating reflect the new operation accurately.

#333 · Commercial Automobile Insurance

What is a common reason a commercial auto claim is denied under the physical damage section?

Answer

A claim may be denied if the loss resulted from an excluded cause, such as mechanical breakdown, or if the vehicle was being used outside the permitted use described on the policy.

#334 · Commercial Automobile Insurance

What is the purpose of a fleet safety program from an underwriting perspective?

Answer

A documented fleet safety program, including driver training and vehicle maintenance schedules, can reduce loss frequency and severity, often leading insurers to offer more favourable terms.

#335 · Commercial Automobile Insurance

How does claims history affect commercial fleet renewal terms?

Answer

A poor loss history typically results in higher premiums, increased deductibles, or non-renewal, while a favourable loss experience can support premium credits or continued preferred terms.

#336 · Commercial Automobile Insurance

What is meant by 'symbol rating' or 'vehicle rating group' in commercial auto insurance?

Answer

Vehicles are grouped by rating symbols based on factors like cost, repair expense, and claims experience for that make and model, which helps determine the physical damage premium for each unit.

#337 · Commercial Automobile Insurance

Why might a business choose to self-insure physical damage on older fleet vehicles?

Answer

For older vehicles with low actual cash value, the potential claim recovery may not justify the ongoing premium cost, so some businesses drop physical damage coverage on those units to save on premium.

#338 · Commercial Automobile Insurance

What is the significance of confirming a certificate of insurance before a hired vehicle is used for business?

Answer

Confirming a certificate verifies the rental or leasing company's coverage terms and limits, helping the broker identify whether the client's hired auto coverage needs to respond as primary or excess.

#339 · Commercial Automobile Insurance

What underwriting information is especially important when insuring a garage operation's customer vehicle exposure?

Answer

The insurer needs details on the number of vehicles typically on the premises at one time, storage security, and the type of work performed, since these factors drive the garagekeepers exposure.

#340 · Commercial Automobile Insurance

Why should a broker review a commercial auto client's operations annually even without a policy change request?

Answer

Business operations, fleet composition, and radius of travel can shift gradually, and an annual review helps the broker confirm the coverage still matches the true exposure and avoid gaps at claim time.

#341 · Aviation Insurance

What are the two primary sections found in most aviation insurance policies?

Answer

Hull insurance, which covers physical damage to the aircraft itself, and liability insurance, which covers the aircraft owner or operator's legal liability for bodily injury or property damage to third parties.

#342 · Aviation Insurance

What does aircraft hull insurance cover?

Answer

Physical loss or damage to the aircraft, including the airframe, engines, and installed equipment, from perils such as crash, fire, theft, and weather while the aircraft is in flight, taxiing, or on the ground.

#343 · Aviation Insurance

What is the difference between hull in motion and hull not in motion coverage?

Answer

Hull in motion covers the aircraft while it is moving under its own power, including taxiing, takeoff, flight, and landing, while hull not in motion (ground and hangar) only covers the aircraft while parked, stored, or being towed and provides no coverage once the aircraft moves under its own power. These are states of the aircraft, a separate policy dimension from whether coverage is written on an all-risks or named-perils basis.

#344 · Aviation Insurance

How is an aircraft hull typically valued for insurance purposes?

Answer

The hull is usually insured on an agreed value basis stated in the policy declarations, rather than actual cash value, so both insurer and insured know the settlement amount in advance in the event of a total loss.

#345 · Aviation Insurance

Why do aviation hull policies commonly use an agreed value basis instead of actual cash value?

Answer

Aircraft values vary widely and depreciation schedules are inconsistent, so an agreed value avoids valuation disputes after a total loss and gives the aircraft owner certainty for financing and replacement purposes.

#346 · Aviation Insurance

What is aviation liability insurance designed to protect against?

Answer

It protects the insured against claims from third parties for bodily injury or property damage arising out of the ownership, maintenance, or use of the aircraft, subject to policy limits and exclusions.

#347 · Aviation Insurance

What is the significance of a combined single limit (CSL) in aviation liability policies?

Answer

A combined single limit provides one overall limit of liability that applies to bodily injury and property damage claims together, rather than separate sub-limits, giving flexibility in how the limit is allocated among claimants.

#348 · Aviation Insurance

What is passenger legal liability coverage in an aviation policy?

Answer

It covers the insured's legal liability for bodily injury or death to passengers aboard the insured aircraft, which is typically subject to its own per-passenger sub-limit separate from the liability limit for third parties on the ground.

#349 · Aviation Insurance

Why is passenger liability often sublimited on a per-seat or per-passenger basis?

Answer

Insurers want to control aggregate exposure per aircraft accident, so they cap the amount payable for each passenger seat rather than allow the full liability limit to apply to every individual passenger claim.

#350 · Aviation Insurance

What must a broker confirm about seating capacity when placing passenger liability coverage?

Answer

The broker must confirm the aircraft's certified passenger seating capacity matches the number of seats declared to the insurer, since an understated seat count can affect the adequacy of the per-passenger limit purchased.

#351 · Aviation Insurance

What is the war risk exclusion in a standard aviation policy?

Answer

It removes coverage for losses caused by war, hijacking, terrorism, confiscation, and similar hostile or warlike acts, since these perils are considered catastrophic and are normally excluded from standard aviation hull and liability wordings.

#352 · Aviation Insurance

What is a war risk buy-back endorsement?

Answer

It is an optional endorsement that reinstates a limited amount of coverage for specific war-related perils, such as hijacking or confiscation, that would otherwise be excluded under the standard aviation policy's war exclusion clause.

#353 · Aviation Insurance

Why would a commercial aircraft operator purchase a war risk buy-back endorsement?

Answer

Operators flying into higher-risk regions or requiring coverage to satisfy lease or financing agreements often need the war exclusion partially reinstated so the aircraft remains insured against politically motivated perils during those operations.

#354 · Aviation Insurance

How does a war risk buy-back typically differ in limit from the base policy?

Answer

The buy-back limit is often lower than the base hull or liability limit and is usually purchased separately in the specialized war risk market rather than from the primary aviation insurer.

#355 · Aviation Insurance

What perils are commonly listed under a standard aviation war exclusion clause?

Answer

War, invasion, civil war, rebellion, insurrection, martial law, confiscation, seizure by government authority, hijacking, and acts of terrorism are all typically listed as excluded perils under the standard clause.

#356 · Aviation Insurance

Who typically underwrites specialized war risk buy-back coverage?

Answer

War risk buy-back coverage is often placed with specialist aviation war risk underwriters, frequently in the London or other international specialty markets, rather than the operator's standard domestic aviation insurer.

#357 · Aviation Insurance

What is airport liability insurance intended to cover?

Answer

It covers the legal liability of airport owners and operators for bodily injury or property damage arising from their premises operations, such as runway maintenance, terminal operations, and ground handling activities.

#358 · Aviation Insurance

How does airport liability differ from aircraft owners' and operators' liability?

Answer

Airport liability responds to exposures arising from the airport's own premises and operations, such as slip and fall incidents or ground equipment accidents, while aircraft liability responds to exposures from the operation of a specific insured aircraft.

#359 · Aviation Insurance

What is hangarkeepers liability coverage?

Answer

It covers the legal liability of a business that maintains or services aircraft belonging to others while those aircraft are in the insured's care, custody, or control, such as damage occurring while an aircraft is stored or repaired.

#360 · Aviation Insurance

Why would a fixed base operator (FBO) need hangarkeepers liability rather than relying only on general liability?

Answer

General liability policies typically exclude damage to property in the insured's care, custody, or control, so an FBO storing or servicing customer aircraft needs hangarkeepers liability to cover damage to those specific aircraft.

#361 · Aviation Insurance

What is product liability coverage for an aviation parts or aircraft manufacturer?

Answer

It covers the manufacturer's legal liability for bodily injury or property damage arising from a defect in a manufactured aircraft, engine, or component part after it has left the manufacturer's control and been placed into use.

#362 · Aviation Insurance

Why is aviation product liability considered a long-tail exposure?

Answer

Aircraft and their components remain in service for decades, so a manufacturing defect may not cause a loss until many years after the product was sold, creating claims that can arise long after the original policy period.

#363 · Aviation Insurance

What is grounding liability coverage in an aviation product liability context?

Answer

It covers a manufacturer's liability for the financial loss suffered by an aircraft owner or operator when a fleet of aircraft is grounded due to a suspected defect, even before any actual bodily injury or property damage occurs.

#364 · Aviation Insurance

How does completed operations liability apply to an aviation maintenance organization?

Answer

It covers the maintenance organization's liability for bodily injury or property damage arising from work it completed on an aircraft after the aircraft has left the shop and returned to service.

#365 · Aviation Insurance

What does the term aviation products-completed operations hazard generally combine?

Answer

It combines the exposure from a defective product placed into the stream of commerce with the exposure from work performed away from the insured's premises that has since been completed and turned over to the customer.

#366 · Aviation Insurance

Why is aviation insurance typically placed in a specialized market rather than the standard commercial lines market?

Answer

Aviation risks require highly specialized underwriting expertise in aircraft type, pilot experience, and catastrophic loss potential, so most brokers place these risks with insurers or managing general agents that focus exclusively on aviation.

#367 · Aviation Insurance

What underwriting information does an aviation insurer typically require about the pilot?

Answer

Insurers typically require pilot certification level, total flight hours, hours on the specific make and model of aircraft, and recent flight review or training history to assess the pilot's competency and loss potential.

#368 · Aviation Insurance

What is an open pilot warranty in an aviation policy?

Answer

It is a policy provision allowing any pilot who meets specified minimum qualifications, rather than only named individuals, to legally operate the insured aircraft while remaining covered under the policy.

#369 · Aviation Insurance

What is a named pilot warranty and how does it differ from an open pilot warranty?

Answer

A named pilot warranty restricts coverage to specific individuals listed in the policy, while an open pilot warranty extends coverage to any pilot meeting stated minimum qualifications, giving the insured broader operational flexibility.

#370 · Aviation Insurance

What happens to aviation liability coverage if an unqualified or unlisted pilot operates the insured aircraft?

Answer

Coverage may be void or the insurer may deny the claim, since operating the aircraft outside the pilot warranty is a breach of a fundamental policy condition that the insurer relied on when underwriting the risk.

#371 · Aviation Insurance

What does the term use of aircraft mean in an aviation policy declaration?

Answer

It describes the permitted purpose of flights, such as private pleasure, business use, or commercial use for hire, and coverage may be void if the aircraft is used outside the declared use without insurer approval.

#372 · Aviation Insurance

Why does an aviation policy distinguish between private and commercial use of an aircraft?

Answer

Commercial use for hire exposes the insurer to greater liability from paying passengers and higher utilization, so premiums and underwriting requirements differ significantly from an aircraft used only for the owner's private purposes.

#373 · Aviation Insurance

What is subrogation and how might it be limited in an aviation liability policy?

Answer

Subrogation is the insurer's right to recover a paid claim from a responsible third party, and aviation policies often include a waiver of subrogation in favour of specified parties such as lessors or lienholders as a condition of financing.

#374 · Aviation Insurance

Why do aircraft leasing and financing companies typically require additional insured status on an aviation policy?

Answer

Additional insured status protects the lessor or lender's financial interest in the aircraft by extending liability coverage to them for claims arising out of the insured's operation of the leased or financed aircraft.

#375 · Aviation Insurance

What is a breach of warranty clause in an aviation policy and who does it protect?

Answer

It preserves coverage for a loss payee or additional insured, such as a lender, even if the aircraft owner breaches a policy condition, provided the protected party was unaware of the breach.

#376 · Aviation Insurance

How does an aviation deductible commonly differ between hull and liability sections?

Answer

Hull coverage typically carries a per-occurrence deductible applied to physical damage claims, while liability coverage often has no deductible or a much smaller one, since liability losses involve third party claims rather than the insured's own property.

#377 · Aviation Insurance

What is meant by territory of coverage in an aviation policy?

Answer

It defines the geographic area, such as Canada and the continental United States, within which the aircraft is covered, and flights outside that territory may require prior notice to and approval from the insurer.

#378 · Aviation Insurance

Why might a broker recommend increasing the territorial limits on a client's aviation policy?

Answer

If the client plans international flights beyond the standard territory, coverage would not apply unless the territory is extended, so the broker must confirm planned routes and arrange the appropriate extension before the trip.

#379 · Aviation Insurance

What is a total loss only (TLO) hull coverage option?

Answer

It is a reduced form of hull insurance that only responds when the aircraft is a total loss, providing no coverage for partial damage repairs, which lowers premium cost but increases the owner's retained risk.

#380 · Aviation Insurance

Why might an aircraft owner choose total loss only coverage instead of full hull all risks?

Answer

An older or lower value aircraft may not justify the premium for full repair coverage, so the owner accepts the risk of paying for minor repairs out of pocket in exchange for lower premiums and coverage only for a total loss.

#381 · Aviation Insurance

What role does the aircraft's airworthiness certificate play in aviation underwriting?

Answer

Insurers require the aircraft to hold a valid airworthiness certificate issued by the applicable civil aviation authority, since flying without one can void coverage as the aircraft is not legally permitted to operate.

#382 · Aviation Insurance

What is medical payments coverage in an aviation policy?

Answer

It provides limited coverage for medical expenses of passengers injured while boarding, aboard, or alighting from the insured aircraft, regardless of fault, up to a stated per-person limit.

#383 · Aviation Insurance

How does medical payments coverage differ from passenger legal liability coverage?

Answer

Medical payments coverage pays regardless of who is at fault, while passenger legal liability only responds when the insured is found legally liable for the passenger's bodily injury.

#384 · Aviation Insurance

What is a manufacturer's aviation products liability exposure most concerned with?

Answer

It is most concerned with defects in design, materials, or workmanship in aircraft, engines, or component parts that could later cause an accident, injury, or property damage once the product is placed into service.

#385 · Aviation Insurance

Why is occurrence-based coverage the conventional trigger for aviation products liability?

Answer

Because product defects may not surface as claims until long after the product was manufactured, aviation products liability is conventionally written on an occurrence basis, which ties coverage to the policy in force when the defect actually caused the loss. A claims-made trigger would instead leave a manufacturer with a coverage gap for a defect-related claim reported after the policy lapsed or was not renewed.

#386 · Aviation Insurance

What is the significance of the term aircraft owned but not insured in an aviation liability policy?

Answer

Standard aviation liability policies typically exclude coverage for aircraft the insured owns but has not scheduled or declared on the policy, so any additional aircraft must be reported and added to maintain coverage.

#387 · Aviation Insurance

How should a broker advise a client who is adding a newly purchased aircraft to their fleet?

Answer

The broker should advise the client to report the new aircraft to the insurer immediately with full underwriting details, since coverage for an unreported aircraft is not automatic and a gap in coverage could result.

#388 · Aviation Insurance

What is non owned aircraft liability coverage?

Answer

It covers an individual or business's liability arising from the use of an aircraft they do not own, such as a rented or borrowed aircraft, typically written as excess over any coverage carried by the aircraft's owner.

#389 · Aviation Insurance

Why would a corporation that occasionally charters aircraft purchase non owned aircraft liability?

Answer

Chartering does not give the corporation ownership, so its own commercial liability policy would not respond to an aviation claim, making non owned aircraft liability necessary to fill that specific coverage gap.

#390 · Aviation Insurance

What is the broker's key responsibility when placing a complex aviation account involving hull, liability, and war risk coverages?

Answer

The broker must coordinate underwriting information across all sections, confirm limits and sublimits are adequate and consistent, and ensure exclusions such as war risk are properly addressed through buy-back where the client's operations require it.

#391 · Surety Bonds

How does a surety bond differ fundamentally from an insurance policy?

Answer

A surety bond is a three-party credit instrument where the surety guarantees the principal's performance to the obligee and expects to be reimbursed for any loss, while insurance is a two-party risk transfer where the insurer absorbs the loss with no expectation of recovery from the insured.

#392 · Surety Bonds

Name the three parties to every surety bond.

Answer

The principal (the party whose obligation is guaranteed), the obligee (the party protected by the bond), and the surety (the party guaranteeing the principal's performance).

#393 · Surety Bonds

What is the principal's role in a surety bond?

Answer

The principal is the contractor, supplier, or licensee who must perform an obligation or contract, and whose failure to do so triggers a potential claim under the bond.

#394 · Surety Bonds

What is the obligee's role in a surety bond?

Answer

The obligee is the party who receives the benefit of the bond, such as a project owner or licensing authority, and who is protected if the principal fails to perform.

#395 · Surety Bonds

Why is underwriting for surety bonds described as a 'zero loss' philosophy?

Answer

Surety underwriting aims to select principals who will never default, since the surety expects full indemnification of any loss paid, unlike insurance underwriting which builds expected losses into pricing.

#396 · Surety Bonds

What is the purpose of a bid bond?

Answer

A bid bond guarantees that if a contractor's bid is accepted, the contractor will enter into the contract and provide the required performance and payment bonds, protecting the owner against bid withdrawal or refusal to sign.

#397 · Surety Bonds

What amount is a bid bond typically written for?

Answer

A bid bond is typically written for a percentage of the tender or bid amount, commonly 10%, rather than the full contract value.

#398 · Surety Bonds

What loss does the obligee suffer if a low bidder withdraws its bid without a bid bond in place?

Answer

The obligee may have to award the contract to the next lowest bidder at a higher price and absorb the cost difference, or re-tender the project entirely at added expense and delay.

#399 · Surety Bonds

What does a performance bond guarantee?

Answer

A performance bond guarantees that the contractor will complete the contracted work according to the terms, plans, and specifications of the underlying contract.

#400 · Surety Bonds

What are the surety's typical options when a contractor defaults under a performance bond?

Answer

The surety can arrange for a replacement contractor to complete the work, finance the original contractor to finish, or pay the obligee the cost to complete up to the bond penalty.

#401 · Surety Bonds

What is a labour and material payment bond intended to protect?

Answer

It protects subcontractors and suppliers who furnish labour or materials to a bonded contract by guaranteeing they will be paid even if the general contractor fails to pay them.

#402 · Surety Bonds

Why do owners often require a labour and material payment bond alongside a performance bond?

Answer

Without it, unpaid subcontractors and suppliers could register construction liens against the owner's property, so the payment bond shifts that payment risk away from the project itself.

#403 · Surety Bonds

What is the usual combined form for performance and payment protection on construction contracts?

Answer

Performance bonds and labour and material payment bonds are commonly issued together as companion bonds, each typically for 50% of the contract price, totalling full contract value coverage.

#404 · Surety Bonds

What is bonding capacity, and why does it matter to a contractor client?

Answer

Bonding capacity is the aggregate amount of bonded work a surety is willing to support for a given contractor at any one time. It is often the practical limiting factor on how much new work a contractor can pursue, more so than the contractor's own desire or ability to take on additional contracts.

#405 · Surety Bonds

What are contract bonds collectively called in the surety industry?

Answer

Bid, performance, and labour and material payment bonds are collectively known as contract bonds, since they all relate to a contractor's performance of a specific construction contract.

#406 · Surety Bonds

What is a licence and permit bond?

Answer

A licence and permit bond guarantees that a licensee will comply with the laws, regulations, and ordinances governing the licensed activity, such as a contractor's licence or a customs broker's licence.

#407 · Surety Bonds

Give an example of when a licence and permit bond is required.

Answer

Many provinces require a licence and permit bond for occupations such as motor vehicle dealers, employment agencies, or collection agencies as a condition of obtaining or keeping the licence.

#408 · Surety Bonds

What is a court bond?

Answer

A court bond is required by a court or statute to guarantee that a party to a legal proceeding will fulfill certain obligations, such as an appeal bond, injunction bond, or fiduciary bond.

#409 · Surety Bonds

What does an appeal bond guarantee?

Answer

An appeal bond guarantees that the appellant will pay the judgment amount plus costs if the appeal is unsuccessful, protecting the respondent while enforcement is stayed.

#410 · Surety Bonds

What is a fiduciary bond used for?

Answer

A fiduciary bond, such as an administrator's or executor's bond, guarantees that a person appointed to manage another's estate or assets will faithfully perform their duties and properly account for the funds.

#411 · Surety Bonds

What is the purpose of an indemnity agreement in surety underwriting?

Answer

The indemnity agreement is a contract signed by the principal, and often personal guarantors, obligating them to reimburse the surety for any loss, cost, or expense paid out under the bond.

#412 · Surety Bonds

Why does a surety require personal indemnity from the owners of a corporate principal?

Answer

Personal indemnity extends the surety's right of recovery beyond the corporation's assets to the individual owners, giving the surety broader financial recourse if the corporate principal cannot reimburse a loss.

#413 · Surety Bonds

What does the surety's right of subrogation allow after paying a bond claim?

Answer

It allows the surety to step into the obligee's position and pursue recovery from the principal and any indemnitors for the amount paid, as well as any collateral or contract funds available.

#414 · Surety Bonds

How does the concept of a 'penal sum' apply to a surety bond?

Answer

The penal sum is the maximum dollar amount the surety agrees to pay under the bond, setting an upper limit on the surety's liability regardless of the size of the actual loss.

#415 · Surety Bonds

What are the '3 Cs' surety underwriters commonly assess in a principal?

Answer

Character, capacity, and capital: the principal's integrity and track record, its technical and managerial ability to perform the work, and its financial strength to complete the obligation.

#416 · Surety Bonds

Why is prior claims experience heavily weighted in surety underwriting compared to general liability underwriting?

Answer

Because a surety bond is a guarantee rather than pooled risk, a single prior default suggests the principal may default again, directly threatening the surety's expectation of full indemnification.

#417 · Surety Bonds

What is a 'consent of surety' letter used for?

Answer

It confirms in advance that the surety is prepared to provide bonding for a specific contractor up to a stated contract value, allowing the contractor to bid with assurance that bonding will follow.

#418 · Surety Bonds

How does the underwriting of a surety bond typically differ in duration and pricing structure from a liability policy?

Answer

Surety bonds are often priced as a small percentage of the contract or penal sum rather than by exposure-based rating, and coverage can run for the life of a contract or an indefinite licence period rather than a fixed annual term.

#419 · Surety Bonds

Why can a surety bond generally not be cancelled the way most insurance policies can?

Answer

Because the bond guarantees performance to a third party obligee, the surety usually cannot unilaterally cancel a bond already in force without the obligee's consent or a specific statutory or contractual cancellation right.

#420 · Surety Bonds

What financial statements does a surety typically require from a contracting principal seeking a large bonding program?

Answer

The surety typically requires audited or review-engagement financial statements, work-in-progress schedules, and a statement of contracts on hand to evaluate capacity and financial strength.

#421 · Surety Bonds

What is a 'work-in-progress' schedule and why does a surety review it?

Answer

It lists all contracts a contractor currently has underway with their percentage complete, billed amounts, and estimated costs to complete, helping the surety judge whether the contractor is overextended.

#422 · Surety Bonds

What is meant by a contractor's 'bonding capacity'?

Answer

Bonding capacity is the maximum aggregate value of work a surety is willing to guarantee for a contractor at one time, based on its financial strength, management, and track record.

#423 · Surety Bonds

How does joint control or trust fund language in a bond sometimes protect the obligee?

Answer

It requires contract proceeds to be used first to pay for labour and materials on that specific project, reducing the risk that funds are diverted to other jobs and leaving subcontractors unpaid.

#424 · Surety Bonds

Why is a broker's role in surety bonding described as more advisory than in placing standard property or liability coverage?

Answer

Because bond approval hinges on underwriting the principal's character and financial capacity rather than a rated exposure, the broker must gather detailed financial and reference information to support the application.

#425 · Surety Bonds

What happens to unused bonding capacity when a bonded contract is completed?

Answer

The capacity used for that contract is released back to the contractor's available bonding line, allowing it to be used again for new bid or performance bond requests.

#426 · Surety Bonds

What is a supply bond?

Answer

A supply bond guarantees that a supplier will deliver goods or materials according to the terms of a purchase contract, similar in concept to a performance bond but for supply rather than construction obligations.

#427 · Surety Bonds

What is a customs bond used for in a Canadian commercial context?

Answer

A customs bond guarantees to the Canada Border Services Agency that duties, taxes, and other obligations owed by an importer or customs broker will be paid as required.

#428 · Surety Bonds

What is a fiduciary (probate) bond, and when is it required?

Answer

A fiduciary bond, sometimes called a probate bond, is required when a court appoints an individual, such as an executor, administrator, guardian, or trustee, to a position of trust over someone else's property or funds. Many Canadian provinces require this bond when the fiduciary is appointed without a will naming them, or without express relief from bonding in the will, guaranteeing faithful administration of the estate or trust.

#429 · Surety Bonds

Why does a surety typically require collateral security on higher-risk bonded accounts?

Answer

Collateral, such as cash, letters of credit, or holdback of contract funds, gives the surety an additional readily available source of recovery beyond the indemnity agreement if the principal defaults.

#430 · Surety Bonds

What is the typical relationship between the penal sum of a performance bond and the contract price?

Answer

The performance bond penal sum is most commonly set at 50% of the contract price under standard Canadian bonding conventions such as the CCDC 221 bond form, though some owners require 100% of the contract price on larger public projects or higher-risk private contracts, defining the surety's maximum exposure.

#431 · Surety Bonds

Why can a broker not simply quote a surety bond premium the way they would quote a CGL premium?

Answer

Bond pricing depends on the surety's underwriting assessment of the specific principal's character, capacity, and capital rather than a standard rate applied to a stated exposure base.

#432 · Surety Bonds

What does 'twinning' of bid and performance bonds mean in practice?

Answer

It means the surety that issues the bid bond is expected to also issue the performance and payment bonds if the bid is accepted, since the bid bond underwriting already anticipates the larger contract obligation.

#433 · Surety Bonds

Why might a broker advise a client to obtain a bonding line well before actively bidding on contracts?

Answer

Establishing a bonding line in advance lets the surety complete its underwriting review before deadlines are tight, so the contractor can bid with confidence that bonds will be issued if the bid is successful.

#434 · Surety Bonds

What amount is a bid bond typically written for, and what does it guarantee?

Answer

A bid bond is usually written for 10% of the tender price. It guarantees that if the contractor's bid is accepted, the contractor will sign the formal contract on the terms of its tender and furnish the required performance and payment bonds.

#435 · Surety Bonds

What is a key difference between how a surety and an insurer treat a loss payment when setting future terms?

Answer

An insurer spreads expected losses across its pool of policyholders through pricing, while a surety treats any bond loss as a debt owed by the principal that it will actively pursue for full recovery.

#436 · Surety Bonds

Why is a personal guarantee from a company's principals often considered essential surety underwriting for a small or closely held contracting business?

Answer

A closely held company's corporate assets alone may be insufficient security, so personal guarantees give the surety recourse to the individual owners' personal assets if the corporate principal cannot reimburse a claim.

#437 · Surety Bonds

What is meant by a 'consent of surety to final payment'?

Answer

It is the surety's written agreement that the obligee may release final holdback or payment to the contractor without releasing the surety's ongoing obligations under the performance bond.

#438 · Surety Bonds

Why does default by a bonded contractor typically require the obligee to formally declare default before the surety acts?

Answer

The bond's terms usually require the obligee to notify the surety of default and terminate the contractor's right to continue, giving the surety a defined trigger point and the chance to investigate before committing to a remedy.

#439 · Surety Bonds

How does the concept of 'moral hazard' apply differently in surety underwriting than in property insurance?

Answer

In surety, moral hazard concerns whether the principal has the integrity and intent to complete the obligation honestly, since a dishonest or overextended principal directly threatens the surety's expectation of zero loss.

#440 · Surety Bonds

Why might a broker recommend a client maintain a strong relationship with one surety rather than shopping bonding lines annually like insurance?

Answer

Bonding capacity and terms are built on the surety's accumulated knowledge of the contractor's track record, so continuity with one surety often supports higher capacity and smoother renewals than frequent switching.

#441 · Umbrella and Excess Liability

What is the primary purpose of an umbrella liability policy?

Answer

An umbrella policy provides additional limits of liability above scheduled underlying policies (such as CGL and commercial auto) and can also broaden coverage by responding to certain claims not covered by the underlying policies, subject to its own terms and a self-insured retention.

#442 · Umbrella and Excess Liability

How does an excess liability policy differ from a true umbrella policy?

Answer

An excess liability policy simply adds limits above a scheduled underlying policy and follows the exact terms and conditions of that underlying policy, whereas an umbrella policy can broaden coverage beyond what the underlying policy provides.

#443 · Umbrella and Excess Liability

What is a self-insured retention (SIR) in an umbrella policy?

Answer

A self-insured retention is the amount the insured must pay out of pocket for a claim that falls within the umbrella's own broadened coverage but is not covered by any underlying policy. It functions somewhat like a deductible, but unlike a deductible, where the insurer typically still owes a duty to defend from the first dollar and later recovers the deductible, under an SIR the insured generally must handle and fund the claim, including defence costs, before the umbrella insurer's duty to defend is triggered.

#444 · Umbrella and Excess Liability

When does drop-down coverage apply under an umbrella policy?

Answer

Drop-down coverage applies when an underlying policy's limits are exhausted by claim payments or when a claim falls within the umbrella's broader coverage but is not covered by any scheduled underlying policy, causing the umbrella to respond as if it were primary, subject to the SIR.

#445 · Umbrella and Excess Liability

What is a following-form excess policy?

Answer

An excess liability policy is inherently following-form in substance: it mirrors the terms, conditions, and exclusions of the underlying primary policy and simply provides additional limits, so any gap or exclusion in the primary policy automatically applies to the excess layer too. Excess policies have no genuinely independent 'standalone' alternative capable of broadening coverage; only a true umbrella can do that.

#446 · Umbrella and Excess Liability

What is a standalone excess policy?

Answer

In practice there is no genuinely independent 'standalone' excess policy: an excess liability policy always follows the terms, conditions, and exclusions of its underlying policy and never broadens coverage, regardless of whether it is labelled 'standalone' or 'following-form.' Only a true umbrella policy can be drafted with independent terms capable of broadening coverage.

#447 · Umbrella and Excess Liability

Why is maintenance of underlying limits a key umbrella policy condition?

Answer

The umbrella insurer requires the insured to keep the scheduled underlying policies in force at their stated limits throughout the policy period, and if underlying limits are reduced or a policy lapses, the umbrella insurer may only pay as if the required limits had been maintained.

#448 · Umbrella and Excess Liability

What does a schedule of underlying insurance list on an umbrella policy?

Answer

The schedule of underlying insurance lists each primary policy the umbrella sits above, including the insurer, policy number, and limits, and the broker must ensure every liability exposure needing umbrella protection has a corresponding scheduled underlying policy.

#449 · Umbrella and Excess Liability

Why might a broker recommend an umbrella policy instead of simply increasing CGL limits?

Answer

An umbrella policy can provide broader coverage across multiple underlying lines at once, fill gaps between different policies, and often deliver higher total limits more cost effectively than raising the limit on a single underlying policy alone.

#450 · Umbrella and Excess Liability

What happens if a claim is covered by an underlying policy but exceeds its limit?

Answer

The umbrella policy responds in excess of the underlying limit for the same covered claim, paying the amount above the underlying limit up to the umbrella's own limit, without the insured having to satisfy the self-insured retention again.

#451 · Umbrella and Excess Liability

What is a 'gap' exposure that an umbrella policy can address?

Answer

A gap exposure is a liability risk that falls outside the coverage of any scheduled underlying policy, such as a broader definition of insured or a coverage extension unique to the umbrella wording, which the umbrella may cover subject to the self-insured retention.

#452 · Umbrella and Excess Liability

How does the self-insured retention differ from a deductible on the underlying policy?

Answer

The self-insured retention applies only to claims covered solely by the umbrella's own broadened wording, while the underlying policy's deductible applies to claims covered by that primary policy, and the two are not combined or duplicated for the same claim.

#453 · Umbrella and Excess Liability

What is a common size range for a self-insured retention on a Canadian commercial umbrella account?

Answer

Self-insured retentions on Canadian commercial umbrella placements commonly range from a modest few thousand dollars for a smaller commercial account up to substantial six-figure retentions for larger or higher-hazard risks, with the retention level acting as a genuine pricing lever between premium and risk retained.

#454 · Umbrella and Excess Liability

Why is exact matching of underlying and umbrella policy periods important?

Answer

Mismatched policy periods between the umbrella and its scheduled underlying policies can create coverage gaps if one policy expires or is cancelled before the other, so brokers should coordinate renewal dates and confirm continuous concurrent coverage.

#455 · Umbrella and Excess Liability

What is the effect of a 'maintenance of underlying insurance' clause if the insured lets a scheduled policy lapse?

Answer

If a scheduled underlying policy lapses and is not replaced, the umbrella insurer typically treats the loss as if the required underlying limit had still been in force, meaning the insured effectively self-insures the gap that the lapsed policy would have covered.

#456 · Umbrella and Excess Liability

Why do umbrella policies often require specific minimum underlying limits?

Answer

Umbrella insurers set minimum required underlying limits so the umbrella is not exposed to attaching too low, since a thin underlying layer increases the frequency and severity of claims the umbrella must absorb through drop-down coverage.

#457 · Umbrella and Excess Liability

How does an umbrella policy typically treat claims investigation and defence costs when it drops down?

Answer

When an umbrella policy drops down because no underlying coverage applies, it usually assumes the duty to investigate and defend the claim itself, since the underlying insurer has no obligation on a claim its own policy does not cover.

#458 · Umbrella and Excess Liability

What is the practical difference in broker recommendation between excess and umbrella coverage for a client with clean, broad underlying wording?

Answer

For a client whose underlying wording is already broad and consistent, a following-form excess policy may be sufficient and often costs less, while an umbrella is more valuable when the broker wants to fill genuine gaps between different underlying policies.

#459 · Umbrella and Excess Liability

What is meant by 'other insurance' or non-concurrency issues in an umbrella program?

Answer

Non-concurrency occurs when underlying policies from different insurers have inconsistent definitions, exclusions, or conditions, creating gaps the umbrella may need to fill, so brokers should review all underlying wordings together rather than each policy in isolation.

#460 · Umbrella and Excess Liability

Why might a commercial auto policy be a required underlying schedule item for an umbrella program?

Answer

Because auto liability claims can produce very large bodily injury awards, umbrella insurers commonly require commercial auto liability to be scheduled as an underlying policy with adequate limits before extending excess or broadened coverage over that exposure.

#461 · Umbrella and Excess Liability

What happens to umbrella limits when multiple underlying policies are exhausted by separate claims in the same policy period?

Answer

The umbrella responds above each exhausted underlying limit as claims arise, but the umbrella's own aggregate limit still governs the total amount payable across all claims in that policy period, regardless of how many underlying layers were exhausted.

#462 · Umbrella and Excess Liability

Why is umbrella coverage sometimes described as broader than the sum of its underlying policies?

Answer

An umbrella policy can be drafted to respond to a wider range of occurrences, insureds, or hazards than any single underlying policy, so in some situations it provides primary-like protection for exposures the underlying schedule never contemplated.

#463 · Umbrella and Excess Liability

What role does the broker play in reviewing an umbrella renewal each year?

Answer

The broker should confirm the schedule of underlying insurance is current and accurate, verify all required limits are still maintained, and check that new exposures acquired during the year (such as new locations or operations) are properly reflected in the underlying program.

#464 · Umbrella and Excess Liability

How does a following-form excess policy respond if the underlying policy contains a specific exclusion?

Answer

Because an excess liability policy always follows the form of the underlying policy in substance, an exclusion in the underlying policy also applies to the excess layer, so a claim excluded at the primary level is also excluded at the excess level. Unlike a true umbrella policy, an excess policy cannot be drafted with independent terms that restore or broaden coverage beyond what the underlying policy provides.

#465 · Umbrella and Excess Liability

Can a standalone excess policy provide broader coverage than the underlying primary policy?

Answer

No. An excess liability policy, whether described as standalone or following-form, never broadens coverage beyond the underlying primary policy; its coverage grant is always essentially a mirror of the policy beneath it. Only a true umbrella policy can broaden coverage, through its own independent terms and drop-down function.

#466 · Umbrella and Excess Liability

What risk does a standalone umbrella policy create if its own wording is narrower than the primary policy?

Answer

A standalone umbrella has its own independently drafted exclusions and definitions, so it may contain an exclusion with no equivalent in the underlying policy. A claim that is covered at the primary level could still be denied at the umbrella layer, creating an unexpected gap despite the primary policy's broader wording.

#467 · Umbrella and Excess Liability

Why do larger commercial accounts sometimes use a tower of multiple excess layers instead of one large umbrella?

Answer

Very large limit requirements can exceed what a single umbrella insurer is willing to underwrite, so brokers build an excess tower with several insurers each taking a layer above the primary and prior excess layers to reach the total limit needed.

#468 · Umbrella and Excess Liability

How should a broker explain the self-insured retention to a client purchasing their first umbrella policy?

Answer

The broker should explain that the SIR only applies when the umbrella responds directly because no underlying policy covers the loss, and that claims properly covered by an underlying policy simply pass through to the umbrella once that policy's limit is used up, with no SIR applied again.

#469 · Umbrella and Excess Liability

What is the danger of assuming an umbrella policy automatically covers every liability exposure a client has?

Answer

An umbrella policy generally requires the related exposure to be scheduled as underlying insurance or fall within its own broadened wording, so an exposure with no underlying policy and no matching umbrella provision may not be covered at all, leaving a real gap.

#470 · Umbrella and Excess Liability

Why is confirming aggregate limit erosion important when a client has had prior claims under an underlying CGL policy?

Answer

If the underlying CGL aggregate limit has already been partly eroded by earlier claims, the umbrella may need to drop down sooner than expected for a new claim, so the broker should track aggregate erosion throughout the policy period, not just at renewal.

#471 • Specialty Commercial Products

What does a cyber liability policy typically cover that a standard CGL policy excludes?

Answer

Cyber liability covers data breach response costs, network security failures, business interruption from a cyber event, and privacy liability. Most CGL policies now carry a cyber exclusion endorsement, so this coverage must be purchased separately.

#472 • Specialty Commercial Products

Define first-party cyber coverage.

Answer

First-party cyber coverage pays the insured's own costs after a breach, such as forensic investigation, notification expenses, credit monitoring for affected individuals, and lost income from a network outage.

#473 · Specialty Commercial Products

Define third-party cyber coverage.

Answer

Third-party cyber coverage responds to claims brought by others harmed by the insured's data breach or network failure, including privacy liability lawsuits, regulatory defence costs, and payment card industry fines.

#474 · Specialty Commercial Products

Why is breach notification cost a major driver of cyber premiums in Canada?

Answer

PIPEDA requires organizations to notify affected individuals and the Privacy Commissioner of Canada of any breach creating a real risk of significant harm. Notification, call centre, and credit monitoring costs can be substantial even without a lawsuit.

#475 • Specialty Commercial Products

What is social engineering fraud coverage under a cyber policy?

Answer

It responds to losses where an employee is deceived into transferring funds or data to a fraudster impersonating a legitimate party, such as a fake invoice or a spoofed executive email. It is often sublimited or requires a separate endorsement.

#476 • Specialty Commercial Products

What underwriting information does a cyber insurer commonly request before quoting?

Answer

Insurers ask about multifactor authentication use, data backup practices, employee security training, incident response planning, and the type and volume of personal or payment data the business holds.

#477 · Specialty Commercial Products

What is a ransomware sublimit and why does a broker need to flag it?

Answer

A ransomware sublimit caps the amount payable for extortion payments and related recovery costs, often lower than the overall policy limit. A broker should confirm the client understands this cap given how frequent ransomware claims have become.

#478 · Specialty Commercial Products

How does professional liability (E&O;) insurance differ from CGL coverage?

Answer

CGL responds to bodily injury and property damage from an occurrence, while E&O; covers financial loss arising from an error, omission, or negligent act in the performance of professional services or advice.

#479 • Specialty Commercial Products

What trigger form do most professional liability policies use?

Answer

Most E&O; policies are written on a claims-made basis, responding only to claims first made and reported during the policy period (or extended reporting period), regardless of when the actual error occurred.

#480 • Specialty Commercial Products

What is a retroactive date on a claims-made E&O; policy?

Answer

The retroactive date is the earliest date from which an error or omission is covered. Claims arising from acts before that date are excluded, so brokers should ensure continuity of retroactive dates when a client changes insurers.

#481 • Specialty Commercial Products

What is an extended reporting period (tail coverage) in E&O; insurance?

Answer

It is an optional period after policy cancellation or non-renewal during which claims can still be reported for acts that occurred while the policy was in force. It protects the insured against a coverage gap when they stop practising or switch insurers.

#482 • Specialty Commercial Products

Why do many professional associations in Canada mandate E&O; insurance for their members?

Answer

Regulators and associations for occupations like lawyers, accountants, and real estate agents require E&O; coverage to protect the public from financial harm caused by professional negligence and to maintain public confidence in the profession.

#483 • Specialty Commercial Products

What is a common exclusion found in most professional liability policies?

Answer

Most E&O; policies exclude claims arising from dishonest, fraudulent, or criminal acts, and typically also exclude bodily injury and property damage, which are handled by CGL coverage instead.

#484 • Specialty Commercial Products

What is directors and officers (D&O;) liability insurance designed to protect?

Answer

D&O; insurance protects the personal assets of a corporation's directors and officers against claims alleging wrongful acts in their management capacity, such as breach of fiduciary duty, mismanagement, or misrepresentation.

#485 • Specialty Commercial Products

Explain Side A coverage in a D&O; policy.

Answer

Side A coverage protects individual directors and officers directly when the corporation cannot or will not indemnify them, such as during insolvency or where indemnification is legally prohibited.

#486 • Specialty Commercial Products

Explain Side B coverage in a D&O; policy.

Answer

Side B coverage reimburses the corporation for amounts it has indemnified its directors and officers for, effectively balance sheet protection for the company after it has paid on behalf of its leaders.

#487 · Specialty Commercial Products

Explain Side C (entity) coverage in a D&O; policy.

Answer

Side C coverage protects the corporate entity itself against securities claims brought directly against the company, most relevant for publicly traded organizations facing shareholder litigation.

#488 · Specialty Commercial Products

Why might a nonprofit organization in Canada purchase D&O; insurance?

Answer

Volunteer directors of nonprofits can face personal liability for decisions on employment, fundraising, or governance. D&O; coverage helps attract qualified board members by protecting their personal assets from lawsuits related to their oversight duties.

#489 · Specialty Commercial Products

What types of claims are commonly excluded from a D&O; policy?

Answer

D&O; policies typically exclude bodily injury, property damage, claims arising from prior known circumstances, and deliberate fraudulent or criminal acts once finally adjudicated as such.

#490 · Specialty Commercial Products

What is employment practices liability (EPL) coverage and how does it relate to D&O;?

Answer

EPL coverage responds to claims of wrongful termination, discrimination, or harassment by employees. It is often added as an endorsement or module alongside a D&O; policy since management decisions can trigger both types of claims.

#491 • Specialty Commercial Products

What is environmental impairment liability (EIL) insurance designed to cover?

Answer

EIL insurance covers bodily injury, property damage, and cleanup costs arising from pollution conditions, including gradual contamination that a standard CGL policy's absolute pollution exclusion would not cover.

#492 • Specialty Commercial Products

Why do standard CGL policies generally exclude pollution claims?

Answer

Most CGL policies contain an absolute pollution exclusion that removes coverage for the discharge, dispersal, or release of pollutants, since environmental remediation costs can be severe and unpredictable, requiring a specialized EIL policy instead.

#493 • Specialty Commercial Products

What is the difference between sudden and accidental pollution and gradual pollution?

Answer

Sudden and accidental pollution results from a single identifiable event, such as a tank rupture, while gradual pollution occurs slowly over time from seepage or ongoing discharge. Most CGL pollution exclusions are broad enough to bar both, though some wordings preserve a narrow exception for sudden and accidental events, so EIL coverage remains the more reliable way to insure against either type.

#494 • Specialty Commercial Products

What is a pollution legal liability (PLL) policy used for in a real estate transaction?

Answer

Pollution legal liability (PLL) is another common industry name for environmental impairment liability (EIL) coverage. A PLL/EIL policy protects a buyer, seller, or lender against cleanup costs and third-party claims from known or unknown contamination on a property, often required as a condition of financing a commercial site with environmental risk.

#495 • Specialty Commercial Products

Which businesses in Canada most commonly need contractor's pollution liability coverage?

Answer

Contractors performing excavation, demolition, or remediation work often need contractor's pollution liability coverage, since their operations create a heightened risk of releasing contaminants during a job.

#496 • Specialty Commercial Products

How does provincial environmental legislation affect EIL insurance needs in Canada?

Answer

Provincial statutes, such as Ontario's Environmental Protection Act, impose strict cleanup obligations and can hold owners and operators liable for contamination regardless of fault, increasing the need for EIL coverage to fund remediation.

#497 • Specialty Commercial Products

What role does a broker play when placing specialty commercial products like cyber, D&O;, or EIL?

Answer

The broker must identify exposures a standard CGL policy will not cover, gather detailed underwriting information, explain claims-made triggers and sublimits clearly, and often access a managing general agent or specialty market for the placement.

#498 • Specialty Commercial Products

Why might a client need both cyber liability and E&O; coverage at the same time?

Answer

A technology or professional services firm can face a data breach that is both a cyber event and a failure to deliver services competently, so overlapping exposures often require both policies to close potential coverage gaps.

#499 · Specialty Commercial Products

What is a defence within limits provision, and where does it commonly appear in specialty policies?

Answer

It means defence costs erode the policy's overall limit of liability rather than being paid in addition to it. This provision is common in D&O;, E&O;, and cyber policies and can significantly reduce funds available to pay a judgment.

#500 · Specialty Commercial Products

Why is prior acts coverage important when a client switches E&O; or D&O; insurers?

Answer

Prior acts coverage extends the new policy's retroactive date back to match the old policy's, ensuring there is no gap where an error committed under the old policy would go uncovered because it was reported after switching insurers.